

EAST AFRICAN CABLES PLC

ANNUAL FINANCIAL STATEMENTS AND REPORTS

31 DECEMBER 2024

EAST AFRICAN CABLES PLC

CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024**

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EAST AFRICAN CABLES PLC

CORPORATE INFORMATION

DIRECTORS

Amb. Dennis Awori
Paul Muigai
Peter Kanyago
Carole Kariuki
Julius Mwatu
TransCentury PLC
Cable Holdings (Kenya) Limited

Chairman
Chief Executive Officer and Managing Director

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

East African Cables PLC
Industrial Area, Addis Ababa Road
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Nairobi

REGISTRARS

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SECRETARY

Virginia Ndunge
Certified Public Secretary (Kenya)
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Nairobi

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ADVOCATES

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Nairobi

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Nairobi

BANKERS

Equity Bank Kenya Limited
Lavington Supreme Centre
PO Box 75104 - 00200
Nairobi

SBM Bank Kenya Limited
Hurlingham Branch
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Nairobi

Sidian Bank Limited
K-Rep Centre, Kilimani
PO Box 25363 - 00603
Nairobi

Credit Bank Limited
Industrial Area Branch
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Nairobi

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Nairobi

KCB Bank Kenya Limited
Industrial Area Branch
Enterprise Road
PO Box 18031 - 00500
Nairobi

EAST AFRICAN CABLES PLC

ABOUT US

East Africa Cables Plc (“the Group”) is a premier cable manufacturer in East and Central African region with three manufacturing facilities: two (2) in Nairobi and one (1) in Dar es Salaam, Tanzania. It is headquartered in Nairobi’s Industrial area and is listed in the Nairobi Securities Exchange. The Group has over 60 years’ experience making it the oldest and a pacesetter in cable manufacturing in the region.

The group supports the power eco-system from generation, transmission, distribution and last mile connectivity through provision of quality cables, conductors and related accessories.

Our mission, vision and core values

In January 2022, the Board and Management refreshed the business strategy to align with customer and changing market environment. The renewed mission, vision and core values are summarised below.

Our mission

- *Connecting lives to improve quality of life*

Electricity is life. In providing quality, safe, and affordable electrical solutions, we endeavour to deliver our products in a manner that will consistently satisfy the needs of our diverse consumers. We will ensure that our daily tasks and operations carry the spirit reflected in our renewed mission statement.

Our vision

- *To be the most innovative and trusted energy connectivity solution provider in the region*

The integrity and safety of electrical cables and solutions are paramount to our customers. We continue to innovate and domesticate solutions aimed at addressing market needs, and new applications. We promise to work with our consumers in providing solutions that they require.

Our core values

- *Care in all our interactions.*
- *Integrity in all our dealings with stakeholders.*
- *Pioneering and Innovative - Pride in what we do as we continuously pursue operational excellence.*
- *Freedom with responsibility and accountability in all we do. We will deliver on our promises.*

Our values are reflective of our character which makes us relevant and continue to grow, such as embracing new digital technologies and serving emerging markets. We will thus exist by the following core values which will be our uncompromisable rules of the game.

Rallying call - Our customer, my responsibility

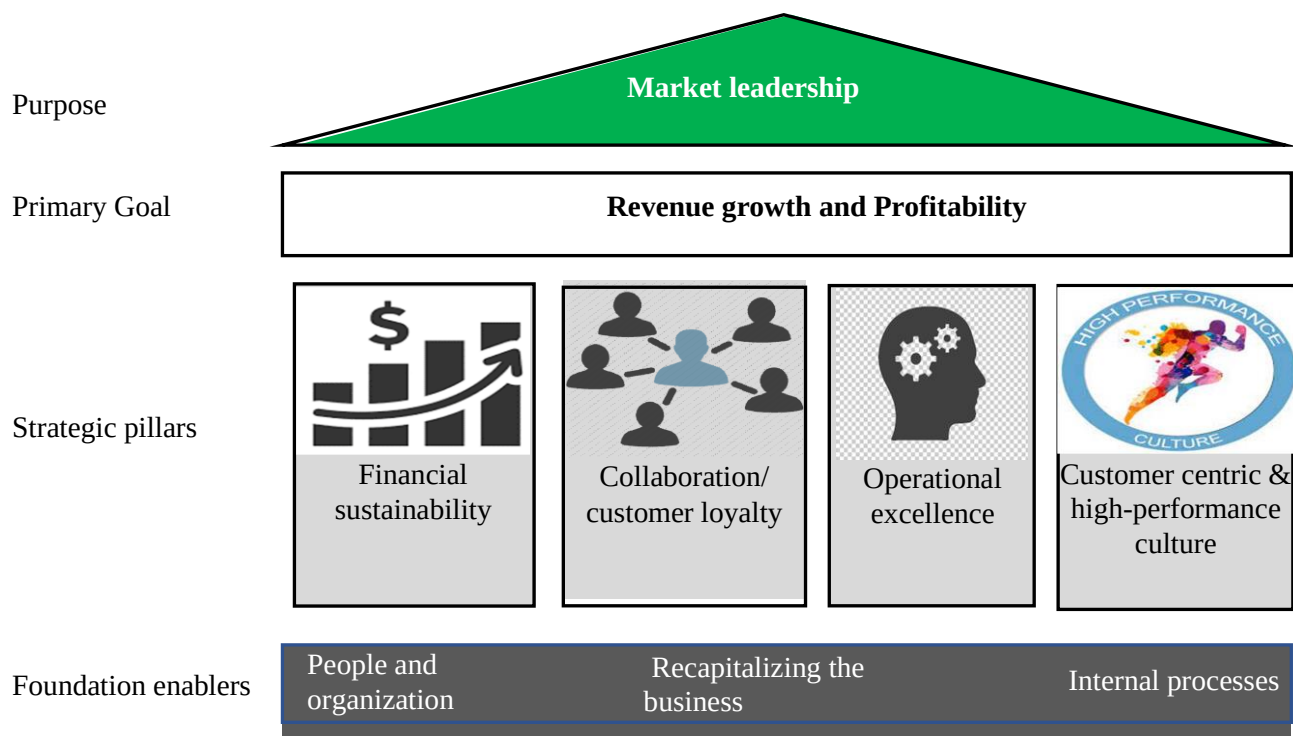
This is a statement that constantly reminds us of who we are, where we are heading to and how we want to get there. It will ensure that, individually and collectively we must work determinedly to provide the best and fulfilling service to our customers.

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Strategy 2022 - 2026

The 5-year strategic plan which is anchored on four pillars; financial sustainability, customer loyalty, operational excellence, customer centric and high-performance culture, and is geared towards long-term profitable growth and focuses on the provision of innovative products and services that support our customers in their various areas of operations. During this period, we envision the company's return to market leadership, profitability and financial sustainability, operational excellence and be an employer of choice.



The successful execution of our strategy is backed by: -

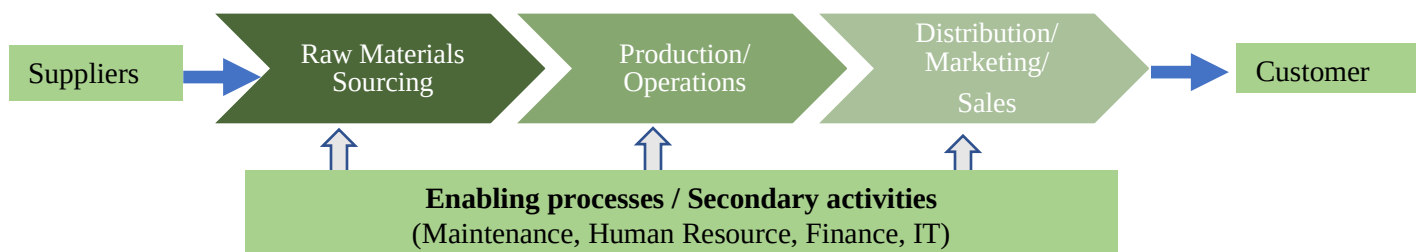
- Strong brand focussed on quality, safe and affordable electrical cables and conductors coupled with exceptional customer experience.
- Innovation to meet changing customer needs and for safer, greener world.
- Sustainable manufacturing and operational excellence.
- Culture of execution and accountability.

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Business model

Our business model may be summarised as follows: -



Raw material sourcing

Copper based products form the bulk of our manufactured output followed by aluminium-based products. Identifying reliable, competitive and quality supplies of primary raw materials is key to our operations. Accessories are sourced from overseas manufacturers and distributed to customers regionally. Electrical cables, conductors and accessories have applications in domestic, industrial or utilities sectors.

Procurement function plays a key role in our value chain by interlinking customer demand and production processes by planning and availing the right quality and quantity of inputs on a timely basis. This involves forecasting the inputs required, identifying reliable sources of those inputs, and organising freight logistics on a just-in-time inventory management model.

Production

This involves conversion of raw materials into finished products. The company has invested in modern equipment for efficient and low-cost production. Total Performance Management (TPM) implemented in 2017, has improved on safety in our operations, productivity and significantly minimised waste in our production processes. Continuous innovation of new products is undertaken by our Research and Development team who work closely with Quality Assurance function.

Distribution

Deliveries to customers across the region is done from the Customer Service Centre located at the company premises or from authorised stockists.

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

East African Cables at a glance



Employees – 210
Indirectly supporting **thousands of jobs** through the ecosystem of traders, electricians, local suppliers and service providers



Training: Over 80 Interns and Apprentices trained in 5 years.
Retained in the company – 27
Current no. of trainees – 23
Partnerships with TVETs and colleges on training



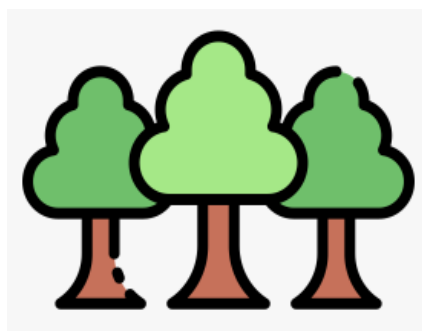
Over 11,500 Customers
9,000 - Traders, stockists, developers
2,500 – Corporates, Contractors, developers, Government Agencies, Utilities, NGOs.



Over 650 Suppliers and service providers.
Local suppliers – 85%
Overseas suppliers – 15%



Sustainability -
18,000 trees planted and nurtured in the last 3 years



Remittances to Exchequer
Taxes paid in 5 yrs –Over KShs 570 million



EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Our products

The group has over the years invested in modern technology which has enabled it to offer safer, greener and high-quality electrical cables and conductors. Its diversified product range include Halogen free fire-retardant cables, Aerial bundled conductors and Cross-linked polyethylene (XLPE) insulated armoured cables in addition to the Polyvinyl Chloride (PVC) insulated cables and bare aluminium conductors. Aerial Bundled Conductors are revolutionary in sustaining our vegetation cover unlike the traditional bare conductors which require clearance of the vegetation along the service lines. The group provides vital support to power utilities, power infrastructure projects, industrial applications and domestic wiring including solar lighting. Other products include House Wiring copper cables, Flexible cables, Power and Control cables, Welding cables, submersible cables, Auto and Battery cables, Aluminium overhead conductors, and Super Enamelled Winding wire. The group adheres strictly to cable making standards to produce high quality cables.

We continue to respond to customer requirements and commit to continuously improve on our product offering, customer experience and be the supplier of choice for all cabling solutions.

Our diversified product range include: -

- | | |
|---|--|
| a) House wiring cables; | i) Welding cables; |
| b) Flexible cables; | j) Nose-bridge wire; |
| c) Armoured (underground) cables; | k) Aerial bundled conductors (ABC); |
| d) Power control cables; | l) Cross-linked polyethylene (XLPE) insulated armoured cables; |
| e) Auto and battery cables; | m) Bare / insulated and ACSR aluminium conductors; |
| f) Halogen free fire-retardant (HFFR) cables; | n) Data and telecommunication cables; and |
| g) Submersible cables; | o) Electrical accessories. |
| h) DC cables for data centres and solar lighting; | |



EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Our products (Continued)

Copper products

**Household use**



House wire



Twin flat



Flexible Cables

**Industrial use**



Armoured cables



Welding cables



Process control cables



DC Cables for Data centers

**Automotive cables**



Battery cables

**Agricultural use**



Submersible cables



Aluminium products

**Utility cables**



Transmission cables



Bare conductors

**Power distribution**



Aerial Bundled conductors



Concentric Neutral Cables



Insulated conductors

**Industrial use**



Al. Armoured cables



Non-armoured cables



EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Our products (Continued)



Electrical accessories

East African Lite
Switch to Quality

For Elegant & Excelsite appeal
our products are up to the task

Contact: _____

+254 (020) 6607000 0722 202 125 0721 555 544
east african lite
eastaffricanlite@outlook.com

Switch to Quality

East African Lite
Switch to Quality

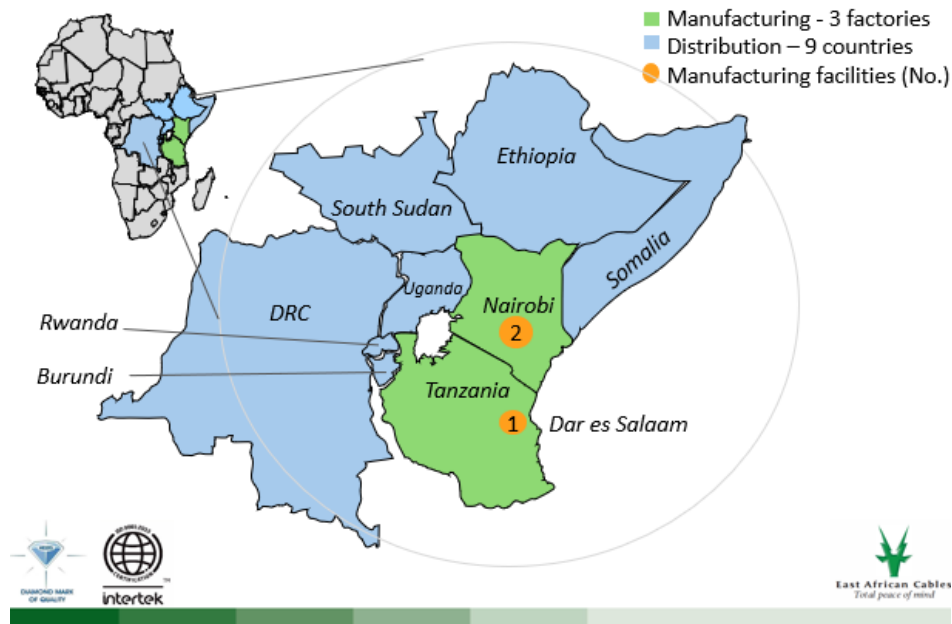
+254 (020) 6607000 0722 202 125 0721 555 544

1 Gang 1 way Switch SW-101M	1 Gang 2 way Switch SW-102M	2 Gang 1 way Switch SW-201M	2 Gang 2 way Switch SW-202M
3 Gang 2 way Switch SW-302M	4 Gang 2 way Switch SW-402M	1 Gang 1/2A 10Amp Switch Socket SW-101N	1 Gang 2/2A 10A Switch SW-202N A/N
1 Gang 40A DP Switch SW-0P45 A/N	1 Gang 10A DP Switch SW-0P45 A/N	1 Gang CV 10A Dimmer SW-0P45 A/N	1 Gang Rock Plate SW-05MB
1 Gang Data Socket SW-200 CDPH	1 Gang TV Switch SW-010 TV	1 Gang Telephone Socket SW-010 TEL	Miniature Circuit Breaker (MCB)

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Foot-print



Our Market

The company has continuously developed its core competency in production of high-quality cables with key focus of addressing consumer needs. Its customer base constitutes retail market, contractors and project developers, corporates, and regional utilities.

- **Retail.** This market consumes copper products mainly for domestic applications and is served through wholesalers, distributors and stockiest throughout the region.
- **Direct sales.** This market comprises of individual home builders, serial residential apartments developers and walk-in customers. Sales through this channel are on cash basis.
- **Contractors.** This market consumes copper products mainly for industrial and commercial applications and is served through electrical sub-contractors or the main contractors of mega projects. Some of the recently completed projects and those being supplied include Safaricom Data Centres, Konza Technopolis, Kidney Institute, KNA Towers, GTC Towers, Two Rivers Housing, Affordable Housing Projects, among others.
- **Corporate end-users.** Like the contractor market, this segment consumes copper products mainly for industrial and commercial applications. However, the service is directly to the developer. These include clients like Tea factories, Cement factories, Sugar factories, Beverage and alcoholic drink manufacturers, Port Authorities, among others.
- **Utilities.** This market consumes aluminium products mainly for power generation, transmission and distribution. The regional utility companies we sell to include - KPLC, REREC, UMEME, TANESCO, REA-Tz, ZECO, among others.
- **Exports.** This market is part of our geographical diversification strategy. It covers markets of Southern Sudan, Uganda, Tanzania, Rwanda, Eastern DRC, Somalia, and Mozambique. Supplies to these markets include both copper and aluminium products. This segment has immense potential with the right funding for materials.

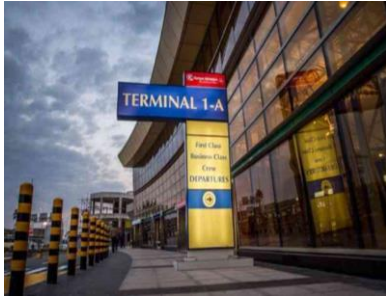
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ABOUT US (CONTINUED)

Our market (continued)

Some of the recently completed projects include: -

JKIA upgrade terminal upgrade



Affordable Housing



KUTRRH



GTC Towers



KNA Towers



Nairobi Expressway Lighting



SGR Stations



Electrification projects



Data centres



Nairobi Hospital Modernization



Micro-Brewery



Other major projects undertaken: -

Konza Technopolis

EAKI – East African Kidney Institute

ADC – Africa Data Centre

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Our market (continued)

Various customer engagements were executed in 2024. Some of them include:-

Invest Somalia Conference & Expo



Kitui Trade Fair



Market activation - Coast



Kisumu Realtors Expo



Anti-counterfeit event - KICC



Road Show – South Rift



Road Show – Eastern Region



Market activation – Kisii County



Muthaiga Golf sponsorship



EAST AFRICAN CABLES PLC

CHAIRMAN'S NOTE

Dear Shareholders,

It is with great pleasure that I welcome you all to our 60th Annual General Meeting.

The year 2024 was both challenging and resilient for our organisation, marked by a complex economic landscape. Despite these challenges the business recorded a commendable growth in EBITDA compared to losses recorded in the previous year. This improvement reflects our commitment to achieving financial sustainability and value to shareholders.

Transition – Dr. M.G. Waweru

In July 2024, our Chairman, Dr. M.G. Waweru, passed on after a long illness bravely borne. His contribution to this organisation has been remarkable including the implementation of the turn around strategy that has sustained the business since 2017 when he took the reigns as the Chairman of the Board. We dearly miss him and his visionary leadership, guidance and astute entrepreneurial skills. In his honour, and that of fellow shareholders, we commit to complete the turn-around phase and deliver value to our stakeholders. May the Almighty God Rest Dr. M.G. Waweru's soul in eternal peace.

Operating environment

In 2024, Kenya experienced a slowdown, in Real GDP to an estimated 4.6% compared to 5.6% in 2023, generally affecting most of the sectors of the economy, including construction sector where we operate. This decline was mainly attributed to countrywide Gen-Z protests witnessed in May and June 2024 resulting to withdrawal of the Finance Bill. The Kenya Shilling strengthened against the USD from an average of 156.46 KES/USD in December 2023 to 129.29 KES/USD in December 2024 while inflation also eased to an average of 3% in December 2024 from 6.6% in December 2023.

Continued volatility in metal prices in the London Metal Prices resulted to rise in Copper and Aluminium prices by 8% and 7% respectively, making our products costlier to consumers. High product prices make genuine products less affordable and therefore creates avenues for sub-standard products to thrive. On this front, the business continues to partner with government agencies and Kenya Association of Manufacturers to crack down on illicit trade which not only denies the government vital tax revenue but also endangers the lives of unsuspecting consumers who buy and install these substandard products.

Our people

At the core of our achievement is our people. The resilience, focus, and unwavering commitment of our teams across the region have been extraordinary. In a volatile operating environment, they have shown remarkable adaptability, creativity, and dedication to delivering value to our stakeholders. Their tireless efforts have enabled us to navigate challenges effectively while seizing opportunities for growth and impact. Through their innovative solutions, customer-centric collaboration, operational excellence and building lasting relationships, our people have demonstrated true dedication to the success of this business.

Strategic achievement and growth

Implementation of our 5-year strategy continues unabated and is bearing fruits through brand positioning, improved route-to-market, alignment to customer needs and efficiency in our operations, as evidenced in the year-on-year growth in revenue and EBITDA. We continue to focus on becoming a better organisation to deliver more value to our stakeholders and the world at large.

EAST AFRICAN CABLES PLC

CHAIRMAN'S NOTE (CONTINUED)

Governance and Leadership

Following the untimely demise of our former Chairman, the Board appointed Mr. Dennis Awori as the Chairman of the Board. In line with company's Board appointment procedures, the Nominations and Governance Committee has been tasked to recruit another Director to fill in the vacancy. Once the process is completed, the new Director will be presented to Shareholders for appointment.

As part of our commitment to fostering strong leadership and keeping up to date with best practices in corporate Governance, Board are trained on matters related to corporate governance, strategic leadership, changes in regulatory environment among other emerging issues.

Looking ahead

Though a major risk to our business, resolution of the bank debt issue is one of the topmost priorities. The company is making progress in implementing measures aimed at protecting the company's value and the Board is fully committed to resolving the debt issue and to make the business financially sustainable, a key pillar in our strategy. We request for your patience as we work to resolve this matter with the bank.

Since 2019, the business has recorded consistent improvement in revenue growth and cash generation. The traction gained is a result of a clear focus on growing order pipeline through concerted commercial activities, efficient and lean operations, product innovation and market diversification. The 5-year strategy, which is under implementation, aims to create lasting partnerships and collaboration with our consumers, alignment with the market, innovative products and services and most importantly a strong and focused team to execute. We are confident that with the growing construction sector in the region, demand for building materials will increase providing an opportunity for our business to thrive and achieve full profitability.

We therefore look forward with optimism to achieving great milestones in our recovery journey.

Appreciation

I take this opportunity to express my sincere appreciation and gratitude to the Board, Management and staff for their unwavering commitment and dedication during the year, as well as to our strategic partners who continue to walk this journey with us.

Amb. Dennis Awori
Chairman

Date: 25 April 2025

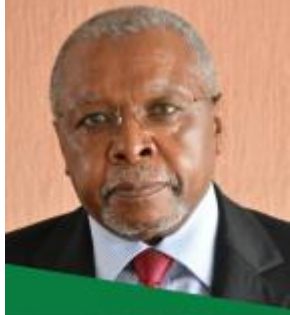
EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS

 Amb. Dennis Awori (70 Yrs) <i>Non-Executive Director</i>	Position: Chairman since 23rd August 2024; Non-Executive Director since July 2023. Skills and experience: Amb. Dennis Awori earned his BSC with Honors degree in Aeronautical Engineering from the University of Manchester in 1977. He has spent most of his working life in the Motor Industry across East Africa, in which he has held various positions including Sales and Marketing Manager, Branch Manager, General Manager, Managing Director and Chairman. Key Appointments: He was appointed the Ambassador of the Republic of Kenya to Japan and Korea from 2003 to 2009 and during his tenure he spearheaded the establishment of the Kenyan Embassy in Korea, as well as built strong relations between Kenya and the two countries. He currently sits in various boards including CFAO Kenya Limited (a wholly owned subsidiary of Toyota Tsusho Corporation) and Toyota Kenya Limited where he is the Chairman and Bank of Africa. Amb. Awori is a keen sportsman and has been Chairman of both the Kenya Rugby Football Union and the Uganda Rugby Football Union in consecutive terms between 1990 and 1997.
 Paul Muigai (59 Yrs) <i>Managing Director/ Chief Executive Officer</i>	Position: Managing Director / Chief Executive Officer since April 2018. Skills and experience: Paul is a seasoned leader with a wealth of experience in Supply Chain management, having held various roles across the Supply Chain in Unilever, including production management, procurement, Operations Planning, Engineering and productivity improvement at various levels up to Supply Chain Director Level. He also held Asia-Africa and Africa & Middle East Regional expatriate roles in the areas of Supply Chain optimization and Safety, Health and Eco-efficiency, based in Singapore and Dubai respectively. Paul is a graduate of University of Nairobi and holds a Bachelor of Science degree in Mechanical engineering.
 Nganga Njiinu, CFA – CEO, TransCentury (47 Yrs) <i>Representing TransCentury PLC</i>	Position: Group Chief Executive Officer – TransCentury Plc. Skills and experience: Nganga Njiinu is the Group CEO of TransCentury Plc and has over 21 years’ experience in investments, strategy implementation and operations. Since joining TransCentury in 2008 Njiinu has held various leadership roles in corporate finance, portfolio management, business development as well as originating and developing opportunities in the infrastructure space. In addition, Njiinu has had deep experience in developing infrastructure projects in the areas of mining, energy, rail, and roads. Since taking up the CEO role in 2016, Njiinu has led the Group through an extensive restructure that has led to reduction of debt by USD 55 million, in addition to a Groupwide organisation redesign reflecting Group’s strategic direction. Under his leadership, the Group has attracted over USD 50 million of additional funds into the business and successfully exited infrastructure projects and portfolio investments. Prior to joining TransCentury, Njiinu worked for Coldwell Banker Residential Brokerage in the USA for 7 years, where he oversaw strategic initiatives, financial planning, and analysis as well as evaluation and integration of acquisitions.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS (CONTINUED)

 Peter Kanyago, FCCA, FCPA, EBS (77 Yrs) <i>Non-Executive Director</i>	Position: Non-Executive Director since March 2004. Skills and experience: Mr. Kanyago is a fellow of the Institute of Certified Public Accountants of Kenya and holds an MBA in Industrial Management. His contribution to the nation has been recognized in his being awarded the Moran of the order of the Burning Spear (MBS) and Elder of the order of the Burning Spear (EBS) of the Republic of Kenya. He is also a fellow of Kenya Institute of Management (KIM). Key Appointments: As an entrepreneur, he holds directorships in companies he has built, including Pekan Limited and East African Elevator Company (ThyssenKrupp). He is also the Chairman of Geopet Investments Limited, Kenya Open Golf Limited and Winguards Services Limited.
 Wanjuki Muchemi CBS, FCI, Arb (73 Yrs) <i>Representing Cable Holdings (Kenya) Limited</i> <i>Non-Executive Director</i>	Position: Non-Executive Director since August 2018 Skills and experience: Mr. Muchemi is a senior legal practitioner with a wealth of experience in International Commercial Law, Arbitration, Alternative Dispute Resolution, Multilateral and Bilateral Finance negotiations. He holds a Master of Business Administration (MBA) degree in Strategic Management and a Bachelor of Laws (LL.B. Hons.) degree from the University of Nairobi. He is an Advocate of the High Court of Kenya, Fellow of The Chartered Institute of Arbitrators, London, U.K. (FCI Arb.), Member of The Institute of Certified Public Secretaries of Kenya (CPS (K)), and The Law Society of Kenya. He has taken part in many Strategic Management and Professional courses in topical and current practices. Key Appointments: He is currently serving as a non- Executive Director in the Boards of several listed and private companies including Trans-Century PLC., Cable Holdings (Kenya) Limited, Energy and Petroleum Regulatory Authority (EPRA), Sonar Imaging Centre Limited, Kenya Diabetes Management and Information (KDMI) Centre and Mount Kenya Academy Schools Limited. Previously, Mr. Muchemi served in the Public Service as the Solicitor-General of the Republic of Kenya and as the Principal Assistant to the Attorney-General for ten (10) years from 2003 to 2013. During his tenure, he was awarded the Chief of the Order of the Burning Spear (CBS) (First Class) by His Excellency, President Mwai Kibaki, for his dedicated service. In addition, he also served as a Director in several State Corporations including Kenya Revenue Authority (KRA), Kenya Pipeline Company (KPC), Salaries and Remuneration Commission (SRC), Kenya National Audit Office (KENAO), Kenya Ports Authority (KPA), as well as at the Centre for Corporate Governance where he served for 10 years.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS (CONTINUED)

 FCPA JULIUS MWATU (53 Yrs) <i>Independent Non-Executive Director</i>	Position: Non-Executive Director since November 2020 Skills and experience: FCPA Julius Mwatu is a Fellow of the Institute of Certified Public Accountants of Kenya (ICPAK) and former Chairman of ICPAK. He is also a member of the Institute of Certified Secretaries (ICS) and a Member of the Institute of Certified Investment & Financial Analysts (ICIFA). During his tenure at ICPAK, he was also a Council member of the International Federation of Accountants (IFAC) and a board member of the Pan-African Federation of Accountants (PAFA). FCPA Mwatu holds a Bachelor of Science Degree in Statistics from Egerton University and a Masters Degree in Business Administration (Finance) from the United States International University (USIU) Africa. Key Appointments: Julius sits in various boards and has vast board experience both locally and internationally, gained from the private sector, public sector, not-for-profit and donor funded agencies. FCPA Mwatu is the Managing Partner at CPJ & Associates (CPA-K) and has extensive experience in the accountancy profession spanning over 20 years specialising in audit, tax, integrated reporting, and governance. He previously worked as an auditor and tax advisor with PKF (EA), Ernst & Young, and KPMG Kenya. Julius was also a Chief Finance Officer at Indigo Telecoms for over 10 years.
 Carole Kariuki, EBS (50 Yrs) <i>Independent Non-Executive Director</i>	Position: Non-Executive Director since March 2019 Skills and experience: Carole is the Chief Executive Officer of Kenya Private Sector Alliance (KEPSA), an organisation she has helped steer to become the apex of the private sector in Kenya. She has a wealth of experience in leadership having worked for Sagamore Institute for Public Policy Research where she was the liaison between KEPSA and the institute before joining KEPSA. In her line of duty, Carole has been recognised with several awards for her leadership role in the development of the Private Sector in Kenya. The government has recognised her contributions by awarding her The Elder of the Order of the Burning Spear (EBS) in 2021, The Moran of the Order of Burning Spear (MBS) in 2012 and The Head of State's Commendation (HSC) in 2011. She holds a Bachelor of Arts Degree in Economics and Sociology from the University of Nairobi and a Master's Degree in Public Administration and International Affairs from Bowling Green State University, Ohio USA. She has also pursued several professional courses on Stakeholder management, Leadership and Private Sector development among others. Key Appointments: She currently serves in several boards including LPC Global Logistics Kenya where she is the Board Chairperson, Jubilee Health Insurance Limited, ISUI-Africa Trustees, UN Global Compact Network, National Council of Administrative Justice and WTO Trade Committee among others.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS (CONTINUED)

 Virginia Ndunge (55 Yrs) <i>Company Secretary</i>	Position: <i>Company Secretary since March 2004</i> Skills and experience: Virginia Ndunge is a Certified Public Secretary and a member of the Institute of the Certified Public Secretaries of Kenya (ICPSK). She holds a Bachelor of Commerce degree in Finance and Diploma in Project Management. She is also an accredited governance auditor. Key Appointments: She has substantial experience in Company Secretarial services having worked with Emu Registrars, Certified Public Secretaries, for over 13 years, and Kaplan and Stratton Advocates for six years as the head of their Company Secretarial Division. She is currently the lead consultant at Virgyways Consultants, providing company secretarial and governance audit services.
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EAST AFRICAN CABLES PLC

CEO's MESSAGE

To our Shareholders - Warm greetings from the entire team at East African Cables Plc. It gives me great pride to address you in this year's annual report as we reflect on a year of steady progress, resilience, and meaningful transformation. Your support continues to be the anchor of our journey. In a year filled with economic headwinds and shifting market dynamics, your unwavering belief in our mission has empowered us to stay the course and make bold decisions that are reshaping our future. We are grateful for the trust and partnership that define our relationship with you.

Performance Review – Year 2024 - Despite a challenging macroeconomic landscape—including metal price volatility and tight liquidity—the business achieved commendable performance. Revenue grew by 2% at Group level, and our EBITDA improved significantly by 1,007%, moving from a negative KShs 20 million to a positive KShs 179 million. These numbers reflect strong execution of operational efficiencies as guided by Total Performance Management Program (TPM), cost discipline, and a relentless focus on value creation.

Strategy Update - We remain committed to our 5-year strategy, which is anchored on four pillars: financial sustainability, operational excellence, customer-centricity, and a high-performance culture. This strategy continues to bear fruit. Key milestones include product innovation, stronger route-to-market approaches, deeper customer relationships, and expansion into new geographies and segments. We have also expanded our product portfolio beyond cables to include electrical accessories, allowing us to provide even more comprehensive solutions to our customers. This diversification aligns with our goal of being the go-to provider for all energy connectivity needs in the region.

Our People - Our success is driven by our people. In 2024, their resilience, passion, and commitment stood out in every part of our business. From production lines to customer-facing teams, each member of the EA Cables family contributed to our progress. We continue to invest in skills development, employee wellness, and a culture that promotes innovation, accountability, and growth.

The Road Ahead - Looking into 2025, we are energized by the opportunities ahead. The construction sector is rebounding, and demand for reliable energy connectivity solutions is rising. We are keenly focused on operational efficiency, market expansion, and improving our capital structure. Top on our list is the resolution of the bank debt issue, which remains a priority to restore financial sustainability. We are also accelerating our anti-counterfeit efforts through the Fundi Bora Loyalty Program. This initiative rewards certified electricians for verifying the authenticity of our products via scratch codes. They earn loyalty points, redeemable for airtime, cable purchase—and ultimately—a grand reward like a motorbike. It's a strategic move to protect consumers, empower our fundis, and defend the integrity of our brand.

Our Commitment to Sustainability- SDGS - Sustainability is at the heart of our business practices. In partnership with KEFRI and local schools, we have planted over 18,000 trees over the last three years. This ongoing tree-planting initiative reflects our commitment to environmental stewardship and creating a greener tomorrow for the communities we serve. It's gratifying to see enthusiastic young minds creating the future that they desire to live in. We also continue with the installers (electrical Technicians) training, focusing on the right material selection and good quality workmanship, to ensure that their projects are guaranteed for years to come.

Appreciation - Finally, I wish to extend my heartfelt appreciation to the Board, our partners, employees, customers, and of course, you, our shareholders. Your faith and support have made this journey worthwhile. Together, we have laid a strong foundation. Together, we will rise. Here's to an even more impactful 2025.

Paul Muigai

Chief Executive Officer & Managing Director

EAST AFRICAN CABLES PLC

MANAGEMENT TEAM

	Paul Muigai Chief Executive Officer Paul is a seasoned leader with a wealth of experience in Supply Chain management, having held various roles across the Supply Chain in Unilever Plc, including production management, procurement, operations planning, engineering and productivity improvement at various levels up to Supply Chain Director Level. He also held Asia-Africa and Africa & Middle East Regional expatriate roles in the areas of Supply Chain optimization and Safety, Health and Eco-efficiency, based in Singapore and Dubai respectively. Paul is a graduate of University of Nairobi and holds a Bachelor of Science degree in Mechanical engineering.
	Dr. Gerald G. Gitau Commercial Manager Dr. Gitau has over 20 years' experience in Sales & Marketing, Project Management and System implementations. Previously, he has worked for The Coca-Cola Company (Nairobi Bottlers) as a Marketer and a Sales Manager and Texaco (Caltex) as a Customer Care Coach. He holds a PhD from the University of Nairobi, a master's degree in project planning and management and a Bachelor of Business Administration degree in Marketing and in Information Science. He is a Licentiate Member of the Institute of Management of Information System (IMIS-UK) with numerous certifications in Business Management specializing in Sales and Marketing.
	Joseph Kamau Production Manager Joseph is a Mechanical Engineering graduate from the University of Nairobi. He joined East African Cables (Tz) Limited in 2009 as Production Manager where he worked for seven years before being transferred to East African Cables (Kenya) in 2016. He has also worked in similar manufacturing and engineering roles in other companies namely Sameer Africa Limited, Lonrho Motors (EA) Ltd and Ministry of Lands and Settlement, for over ten years.
	Esther Lulonde Human Resources and Administration Manager Esther joined East African Cables Plc in 2020. With over 15 years of experience in Human Resources and Administration cutting across Manufacturing, Hospitality and Real Estate Industries, she has been instrumental in formulation and implementation of strategy, policies, procedures, and management of organizational performance. Very keen on employee development, she has designed development programs that have seen companies get real value of succession planning, talent management and employee retention. Esther is adept in Human Resources and administration compliance, corporate governance, Compensation and Benefits, Industrial Relations management, employee relations management and organization design. Esther has a Bachelor of Arts in Sociology from Kenyatta University, diploma in Human Resource Management and is a member of the Institute of Human Resource Management.

EAST AFRICAN CABLES PLC

MANAGEMENT TEAM (CONTINUED)

	Joseph Kinyua Finance Manager A Certified Public Accountant and a member of the ICPAK, Joseph also holds a Master of Business Administration from the University of Nairobi and has over 25 years' experience in Audit, Accountancy and Financial Management. He joined East African Cables in 2007.
	Joyce Mbugua Procurement Manager Joyce has over 15 years of management experience in Procurement and Logistics management in international purchasing, sourcing of materials and outbound logistics. She holds a Master of Science in Procurement and Logistics from Jomo Kenyatta University, a Bachelor's degree in Business Administration & Marketing from Kenya Methodist University and a diploma in Purchasing & Supplies Management from the Kenya Institute of Management. Joyce serves on the Logistics and Advocacy Committee for the Shippers Council of Eastern Africa and is a member of the Kenya Institute of Supplies Management
	Geoffrey Odhiambo General Manager, EA Cables Tanzania A Chemistry graduate of Kenya Polytechnic (Technical University of Kenya), he also holds an advanced certificate in marketing management from the Kenya Institute of Management. He has over 20 years' experience in Technical Sales & Service, Marketing and market development, Customer development and Sales management. Prior to joining EACTz, he was MPC Technical Sales Manager, East Africa, for Akzo Nobel / Sadolin Paints, based in Tanzania.

EAST AFRICAN CABLES PLC

BUSINESS REVIEW

Operating environment

The year under review was characterised by social unrest (Gen-Z protests), rising metal prices and tight liquidity arising from diminished household disposable incomes. These factors negatively impacted demand for construction materials. Despite the challenges, our strategies on market activation and brand promotion registered growth in revenue and EBITDA, a testament to our business resilience.

Our business has identified various risks that it continuously works to mitigate. Some of these business risks are:

(a) *Volatility in prices of raw materials*

On average, Copper and aluminium raw material rose by 8% and 7% respectively in the year under review. Copper and aluminium raw material LME prices averaged USD 9,144 per MT and USD 2,419 per MT compared to USD 8,483 per MT and USD 2,215 per MT in the previous year. This volatility calls for critical planning and maintaining a delicate balance in inventory holding levels to mitigate risk especially should global metal prices drop suddenly.

(b) *Foreign currency risk*

Our primary raw materials are imported and dollar denominated, while a large proportion of our revenue is in Kenya Shilling. Significant fluctuations in the local currency against the United States Dollar poses a risk to our business. In 2024, the KES closed at 129.29 compared to USD and KES 156.46 at the beginning of the year, an appreciation of 17% making our raw materials more affordable. The business is striving to expand its geographical market while at the same time pricing high-value orders in USD to hedge against exchange fluctuations.

(c) *Illicit trade*

Infiltration of counterfeits and substandard products not only pose a risk to the consumers, but they also erode the value of a successful brand. The Group and Company have partnered with key stakeholders in the government to curtail this trade. We laud the multi-agency team for their support on this front.

Tanzania operations

Our Tanzania subsidiary has continued to struggle with low revenue due to constraints in working capital funding. In the year under review, it recorded revenue of KShs 149 million (2023 – KShs 202 million), an after-tax loss of KShs 225 million (2023- KShs 196 million) and closed the year with a net liability position of KShs 530 million (2023 - KShs 396 million). Due to difficulties faced in sourcing working capital, the Board resolved to divest from this business. A Share Sale / Purchase Agreement has been signed with the potential investor, pending regulatory and stakeholder consents and approvals. The proceeds from this transaction will be utilised to reduce outstanding debt. It is expected that this transaction will be completed by end of 2025.

Operational excellence

We remain focused on ensuring timely delivery of our quality products to our customers. The Group has anchored its process improvement on Total Performance Management (TPM) program. TPM is a set of toolkit to put in place and sustain high performance in the work area. It aims, through people, to eliminate loss and waste for performance improvement. Continued and scheduled trainings have resulted to significant improvement in operations through waste and loss eliminations, machine efficiency, safety, team cohesion among others. Efficiency improvement has substantially addressed power losses, scrap and other forms of waste and losses which are a cost and also detrimental to our environment.

EAST AFRICAN CABLES PLC

BUSINESS REVIEW (CONTINUED)

Employee wellness

People are the most important resources we have. Due to lifestyle changes and related illnesses, we have put great emphasis on work life balance to maintain a healthy workforce. Various programs are provided to staff including annual health checks, advice on stress management, cancer, and diabetes awareness, managing hypertension, counselling sessions and financial guidance workshops. We put great emphasis on staff overall wellness to ensure healthy workforce that is effective both at work and home. In the year, various workshops were held, and relevant reading materials distributed to staff.

Supporting the youth

On job creation, the company operates an internship program which allows the youth to acquire hands-on experience. These programs offer college students practical experience in engineering, procurement, finance, stores management and human resource management preparing them for their future careers and providing them with an opportunity to experiment their ideas for the betterment of the society.

The group and company continue to support the *fundi club* which comprise of EPRA (Energy and Petroleum Regulatory Authority) accredited electricians. We value the importance of having well rounded partners to not only provide key technical advice to our customers, but also to run profitable businesses.

In line with the Government's quest to create an enabling environment to the youth and special groups including women and people with disability, the company supports these groups to participate in tenders for local utilities and government institutions.

Impacting communities

Despite the challenges facing the business, we have remained a responsible citizen and contributed proportionately to improve the communities we live in. During the year, the company supported By-Grace Children's home of Kayole in provision of foodstuffs and other requirements.

The company has also partnered with Kenya Forestry Research Institute (KEFRI) and Centre for Character Development to make our country greener by donating and planting over 18,000 tree seedlings in our local communities.

Business performance

In the year under review, the Group and Company recorded increase in revenue by 2% and 4%, respectively. The increase in revenue was attributed to new products, new market channels and individual home builders. Group's revenue growth was impacted by low performance of the Tanzania subsidiary. We continue to focus on product innovation, value-added products, and cost management through implementation of Total Performance Management (TPM) to sustain the growth momentum.

EBITDA improved by 1,007% to a +ve KShs 179 million compared to the previous year's -ve KShs 20 million. The Group recorded a loss after tax of KShs 364.19 million compared to KShs 301.88 million in the previous year driven by bank loan interest.

EAST AFRICAN CABLES PLC

FIVE-YEAR COMPARATIVE GROUP RESULTS



Outlook for 2025

Our business remains resilient, and the board and management have no doubt that continued implementation of the turn-around measures will yield positive results. Despite fluctuations in metal prices and reduced disposable income of the consumers, construction sector in the region continue to expand creating more opportunities for our business. Innovation in new products and new market channels have created a new impetus on revenue generation despite low offtake of aluminium products by regional utilities. The business has embarked on various revenue generation activities and is confident to sustain the growth trajectory.

EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT

The group and company, as a responsible corporate has made commitment to implement universal sustainability development goals and to make the world a better place for all. This is done through alignment of strategies and operations with universal principals on human rights, labour, environment, and anti-corruption, and take actions that advance societal development.

East African Cables Plc has committed to 11 of the 17 SDGs. These goals are highlighted below including how the group is working to achieve them.



SDG 1. No poverty

Despite minimal impact to the global problem, the Group has committed to do what it can to help needy communities. To this end, the company adopted By-Grace Children's Home in Kayole, Nairobi where it provides foodstuffs and other basic needs every month. This home does not have any source of income, yet it has taken up a critical role of providing food, shelter, and education to vulnerable children in our community.

SDG 2. Zero hunger

The company has developed submersible cables for use in irrigation to boost food production and DC cables used in solar lighting. These products go a long way in securing sustainable food production even in arid and semi-arid areas.

SDG 3. Good health and well-being

Care in all our interactions is one of our core values. The management has put in place a committee whose mandate is to assess potential incidences related to safety, making recommendations on how such risks can be mitigated and ensuring implementation of those recommendations. We believe that everyone possesses a fundamental human right to safety and it is our duty to respect and foster that right.

Risk-conscious working behaviour is emphasized and recognised. Based on our corporate values, leaders serve as safety role models for our employees. Safety briefings are conducted in all management meetings to make our operations safer and to sustain the culture of taking care of one another. All our employees and visitors to our factories are also equipped with proper protective gear.

The company also takes extreme caution in disposal of waste generated from its production process. Disposal of effluents is undertaken by certified handlers to avoid water and soil pollution which may be hazardous to humans and environment.

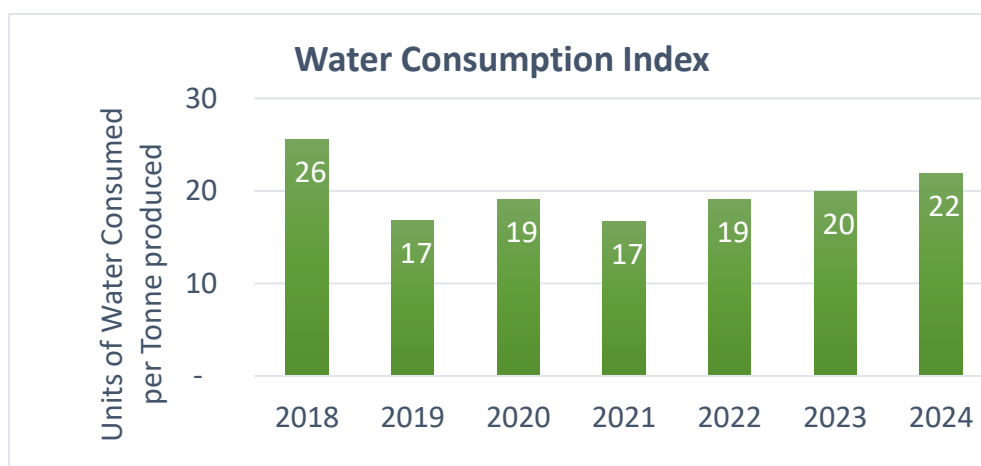
EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

SDG 6. Clean water and sanitation

Our manufacturing operations have been improved to reduce the amount of water consumed during production of cables. This water is used in cooling extruded insulation and sheathing material. The company has invested in rainwater harvesting and uses a closed-circuit cooling system with no spillage and minimal evaporation. The company has also installed a purification system for water consumed by staff within the facilities to minimise use of bottled water which are a major source of plastic pollution.

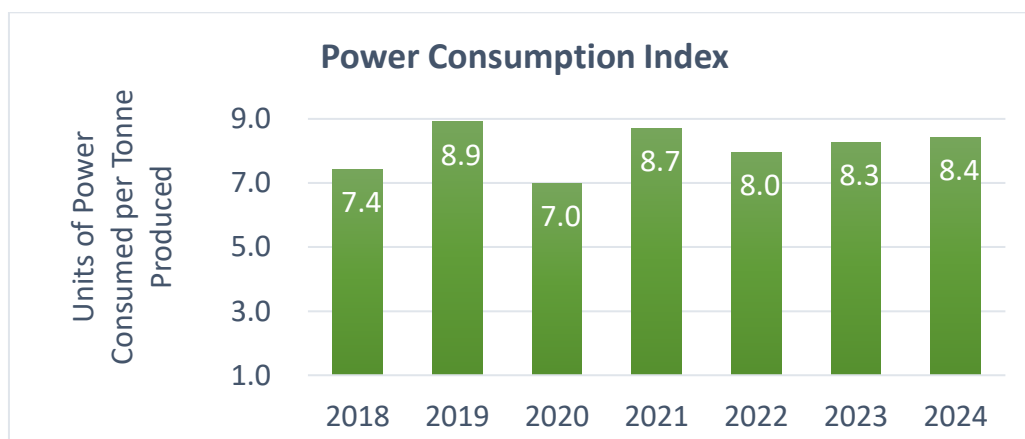
Our measure of water consumption is cubic meters used per tonne of production. We aim to reduce consumption of water as we increase production tonnage. Below is the trend in water consumption.



SDG 7. Affordable and clean energy

The company actively participates in the supply of cables to regional government utilities in support of electrification. Recent innovations by the company include Aerial Bundled Conductors (ABC) which are more efficient in power distribution, Halogen Free Fire-Retardant Cables for use in high density buildings, DC Cables and Solar lighting cables for harnessing renewable energy and Submersible Cables for irrigation and horticulture management.

Our machinery run on national grid-power, and this contributes to a significant portion of our factory overheads. The company has integrated Total Performance Management (TPM) in its operations and strives to continually maintain power consumption within industry average. Below is the power consumption trend.



EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

SDG 8. Decent work and economic growth

The company protects labour rights, promotes safe and secure working environments for all workers and complies with governing labour laws. Unionisable workers have freedom of association and collective bargaining through their union. The company ensures personal safety of employees at the workplace as evidenced by zero fatal or serious injuries. There were 4 minor injuries reported in the year.

The company maintains active continuous education program for employees, including collaborating with external parties to embrace safety in all areas of our operations. Some of the trainings undertaken in the year include mental health training; occupational health and safety; leadership programs; cyber security awareness programs; sexual harassment awareness; safety, health and environment program; strategy formulation and execution program.

On job creation, the company operates an internship program which allows the youth to acquire hands-on experience in the areas of their profession. These programs aim to offer college students practical experience in engineering, procurement, finance, stores management and human resource management preparing them for their future careers and providing them with an opportunity to experiment their ideas for the betterment of the society.

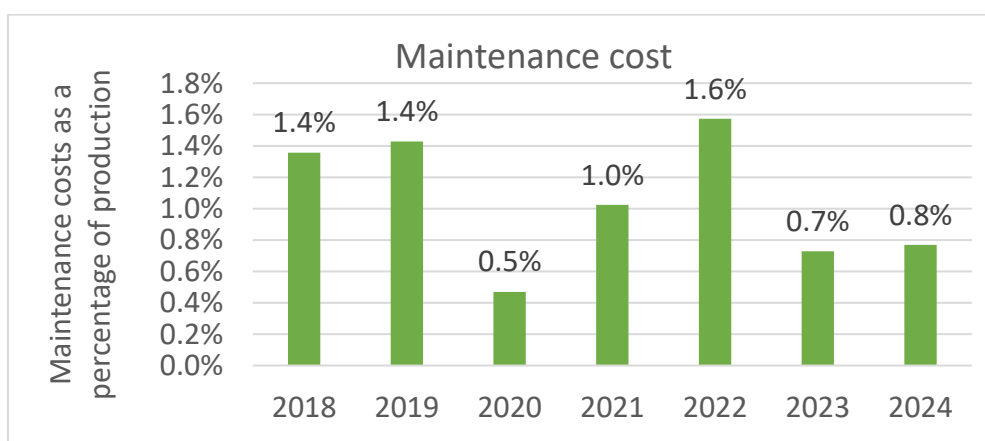
The group and company continue to support the *fundi club* which comprise of EPRA (Energy & Petroleum Regulatory Authority) accredited electricians. We value the importance of having well rounded partners to not only provide key technical advice to our customers, but also to run profitable businesses.

In line with the Government's quest to create an enabling environment to the youth and special groups including women and people with disability, the company supports these groups to participate in tenders for local utilities and government institutions.

SDG 9. Industry, innovation and infrastructure

To promote sustainability in our operations, the group and company embraced Total Performance Management (TPM). TPM is a set of toolkits to put in place and sustain high performance in the work area. It aims, through people, to eliminate loss and waste and to improve performance. Continued and scheduled trainings have resulted to significant improvement in operations through waste and loss eliminations, machine efficiency, safety, team cohesion, among others. Efficiency improvement has significantly addressed power losses, scrap and other wastes which are detrimental to our environment.

These activities have contributed to lower costs of operations like power usage, water consumption (as shown above) among other costs. One such cost is maintenance of our equipment which is measured is per tonnage produced.



EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

SDG 10. Reduced inequalities

EA Cables is dedicated to reducing inequalities by fostering inclusivity within the workplace and maintaining employment practices that eliminate discrimination. The company implements diversity hiring initiatives, enforces equal pay for equal work, and upholds anti-discrimination policies. Furthermore, the Group and Company promotes women's empowerment through leadership opportunities, mentorship programs, and family-friendly policies, contributing to gender equality and reducing gender-based inequalities.

SDG 12. Sustainable consumption and production patterns

One of the pillars of this goal is sustainable use of natural resources. By substantially reducing waste generation through, reduction, recycling and reuse of raw material and wooden drums the group and company has maintained average scrap produced to global benchmarks. The group and company also commissioned usage of metal drums / bobbins in its production processes to reduce the usage of wooden drums thereby conserving trees and forests.

In partnership with Kenya Forest Service (KEFRI) and Centre for Character Development, the company developed a tree nursery in its premises and over the last three years, it has donated and helped to plant over 18,000 seedlings. The tree nursery is a staff initiative towards combating global warming and replenishing the trees used in the company operations.

The group and company have also been on the forefront in campaign to utility companies to adopt Aerial Bundled Conductors in power distribution. The conductors can be used in forested areas thereby conserving vegetation which would otherwise be cleared to pave way for conventional power lines.



EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)



SDG 13. Climate action

The Group and Company's focus on renewable energy promotion addresses climate change. The company's initiatives in solar lighting cables, hydro-electric, and geothermal power generation contribute to reducing greenhouse gas emissions and promoting the use of clean energy. Additionally, the Group and Company's commitment to sustainable industrial practices, including resource efficiency and waste reduction, further supports global efforts to combat climate change and mitigate its impacts.

Goal 17. Partnerships for Sustainable Development

East African Cables Plc has a manufacturing plant in one other East African country and works closely with partners to establish presence in the other Eastern African Countries. We share human capital to develop expertise in areas such as production, market development and organizational management.

EAST AFRICAN CABLES PLC

STAKEHOLDER ENGAGEMENT

At EA Cables, we engage, interact, partner and co-develop solutions with our most relevant stakeholder groups, including collaborative partnerships, customers, employees, governments and civil society, the investment community and suppliers. Stakeholders are defined as individuals and organizations that affect or are affected by the company's business. We actively engage with governments and the local communities in which our products are manufactured and used, with the aim of fostering technological adoption, sound regulatory frameworks, job creation and economic growth.

We are engaged in an ongoing dialogue and close cooperation with our key stakeholder groups to ensure that the Group and Company policies and positions reflect their perspectives. This regular communication is crucial to determining which topics are material for both the company and our stakeholders. In our daily business, we are in continuous contact with customers, employees, suppliers and regulatory agencies, among others. The transparent dialogue we carry on with investors enables them to make informed and timely investment decisions. We regularly engage with the government, civil society and our collaborative partners. At EA Cables, internal stakeholders include employees, managers, and the Board of Directors, all of whom play a crucial role in the company's daily operations and decision-making processes. Externally, the company engages shareholders, customers, suppliers, and investors, who drive its growth and financial success. Additionally, government and regulatory bodies ensure compliance, while the media shapes public perception. The community is also an important stakeholder, as the company's operations impact local areas. Creditors and banks provide necessary financial support, further sustaining the company's business activities.

Stakeholder	Why we engage	How we engage	Frequency
Shareholders	• Strategic planning • Financial performance and reporting • Risk management and mitigation strategies • Legal and regulatory compliance	• Annual and Extraordinary General Meetings • Presentations by the Group CEO. • Q&A published on the company website • Annual and Half-Year results published online • Open invitation to shareholders for discussions • Regular updates via press releases and the website • Engagement through mainstream and social media	Annually
Government and regulators	• Compliance with regulatory requirements • Importation of raw materials and exportation of finished products • Tax obligations • Standardization marks for products • Employment of staff	• Participation in industry forums • Engagement in public procurement processes and tenders • Advocacy and lobbying • Statutory reporting	Regularly
Customers	• Establishing strategic partnerships. • Innovation capabilities & management by obtaining feedback from the market • Product quality & safety and best use	• Key account manager relationships – ongoing dialogue. • One on one engagement sessions through regular site visits • Road shows, market storms, Bill Boards, TV adverts • Social media updates	Daily

EAST AFRICAN CABLES PLC

STAKEHOLDER ENGAGEMENT

Stakeholder	Why we engage	How we engage	Frequency
Suppliers	• Raw material availability • Responsible sourcing and traceability • Innovation capabilities	• Direct engagement with suppliers • Correspondence through invoices, LPOs and Memos • Supplier prequalification and audits	Daily
Employees	• Job Security • Equitable compensation and benefits • Safe working conditions • Develop skillset • Continuous learning and development	• Staff meetings • Townhalls and departmental meetings • Annual performance dialogue • Group newsletter • CEO communication to staff on topical issues • Health and wellness talks • TPM groupings and team building • Internal platforms including E-mail, Face to-face interactions, Video conferencing, Phone calls, Messages, Management briefs and Collective Bargaining Agreements	Regularly
Community	• Local community development. • Security and social support among neighbours • Fostering growth and knowledge transfers to Fundis and trading partners • Poverty eradication in children's home that we support • Tree planting in partner schools	• Kitui Rd and Addis Ababa Rd community groups • Fundi workshops throughout the country • Partnership with KEFRI and Centre for Character Development in tree planting initiatives – Talks to students. • Partnerships with local administration and security agents	Daily
Auditors	• Facilitate in the pooling of resources • Gaining access to new ideas, innovations, and best practices • Risk management • Cost management	• Periodic audits • Feedback on areas of improvement • Individual engagement on a need basis	Quarterly
Media	• Amplify brand message • Build credibility and trust • Gaining insights into industry trends • Demonstrate commitment to social responsibility	• Media Briefings & Press releases. • Interviews on Key announcements or topics. • Industry conferences and forums. • Road shows • Social media updates • Participation in analysts' forums	Daily

EAST AFRICAN CABLES PLC

STAKEHOLDER ENGAGEMENT

Shareholder engagement

The Group and Company's Corporate Governance Framework ensures equitable treatment of all shareholders. All shareholders can obtain effective redress for violation of their rights. The Board Charter ensures that the Board adopts a shareholders' perspective when making decisions and ensuring all shareholders' interests are protected. Our Corporate Governance Framework has improved communication and interactions between shareholders, Board Members and Management. The Board Charter ensures the shareholders are duly accorded with their three basic rights:

- The right to seek information.
- The right to voice an opinion.
- The right to seek redress.

Shareholder Rights

	Areas of Concern	How we engage
1. Right to seek Information	• Right to know about the price sensitive information of the company. • Right to inspect the register of members. • Right to receive notice of General meetings • Right to be kept fully informed of what is happening in the Company	• AGM (Attendance) • Electronic Communications (emails/newsletters and website) • Annual report. • Roadshows. • Media releases • Social Media updates • Site Visits • One on one meetings
2. Right to Voice opinion	• Right to attend general meetings. • Right to be heard and make proposals at shareholders' meetings. • Right to vote and elect directors. • Right to nominate directors • Right to appoint auditors. • Right to receive dividends, if declared.	

Communication with shareholders

The Board is committed to ensuring that shareholders, regulators, and the financial markets are provided with full and timely information about the company performance. This is achieved through:

- i. Interim and annual results publications of the company's financial performance in the daily newspapers.
- ii. The company holds Annual General Meeting to discuss full year performance with shareholders. Copies of the annual reports are made available to shareholders at least 21 days before the date of the AGM. The AGM provides a useful opportunity to the board and management to engage with shareholders on key issues facing the company.
- iii. Interactive website containing all new and relevant information relating to the company.

In this regard, the company complies with the obligations contained in the Nairobi Securities Exchange's Listing Rules, the Capital Markets Authority Act and the Kenyan Companies Act.

EAST AFRICAN CABLES PLC

RISK MANAGEMENT AND CONTROL

Our approach

Our business operates in a dynamic and complex environment, characterized by a diverse range of risks that could potentially impact the achievement of our strategic objectives. These risks arise from various factors and therefore we recognize the importance of anticipating and managing these risks proactively.

To mitigate these risks and safeguard the interests of our stakeholders, the Group and Company has implemented a robust Enterprise Risk Management (ERM) framework. This framework is designed to identify, assess, and manage risks at every level of the organization. It ensures that risk management is embedded in the decision-making process, helping the company respond effectively to both opportunities and threats, thus enabling us to achieve sustainable growth while minimizing disruptions.

The ERM framework involves continuously identifying emerging risks, assessing their potential impact, and implementing mitigation strategies. This proactive approach allows us to take informed action, whether that involves adjusting our strategies, reinforcing controls, or developing contingency plans. Additionally, the integration of a crisis management and business continuity plan ensures that the Group and Company can respond swiftly and effectively in the event of unforeseen disruptions, maintaining operational resilience.

An essential aspect of our risk management approach is the emphasis on strategic alignment. By aligning risk management processes with our corporate strategy, we ensure that every risk is considered in the context of our long-term objectives. By strengthening our resilience in the face of uncertainties, the Group and Company remains committed to creating long-term value for our shareholders, and other stakeholders.

Our Risk Management Framework

The board recognises that risk management is an integral part of creating value. The Group and company employ below risk management process.

- **Risk identification:** We list the potential risks based on the categories, i.e., strategic risk, operational risk, financial risk, compliance, and regulatory risks.
- **Risk assessment:** We utilize the risk matrix to visualize the likelihood and impact of each risk, allowing for prioritization.
- **Risk control:** At this level, we implement actions that prevent the risk from occurring in the first place by reducing its probability.
- **Risk measurement:** We use measurable data to understand risk and compare investments to determine risk levels.
- **Risk monitoring:** It is a continuous process that involves tracking the potential threats to a company. It involves regular review of risks, identification of new threats, communicating risk monitoring activities, and considering the tools and techniques appropriate for effective monitoring.
- **Risk reporting:** This involves documenting the organization's most important risks and communicating that information to the senior management and the board.

Risk governance

The Board is responsible for ensuring the Group and Company's internal controls and risk management systems are in place to identify, manage, and eliminate risks that may imperil its goals. The appointed Board Audit, Risk and Compliance committee (BARCC) will oversee risk-related concerns. The BARCC is responsible for overseeing Group and Company's risk management approach.

The group and company have a fully-fledged Internal Audit function led by the parent company, Transcentury PLC. The function reports to the Audit, Risk and Compliance Committee of the Board.

EAST AFRICAN CABLES PLC

RISK MANAGEMENT AND CONTROL

Through the BARCC, the board has put in place processes for identifying, assessing, managing, and monitoring risks to ensure that the risk of failure to achieve business objectives is mitigated. The group and company have defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These include systems for obtaining authority for major transactions and for ensuring compliance with the laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties. These processes are reviewed by the Internal Auditor who reports directly to the Audit, Risk and Compliance Committee of the Board.

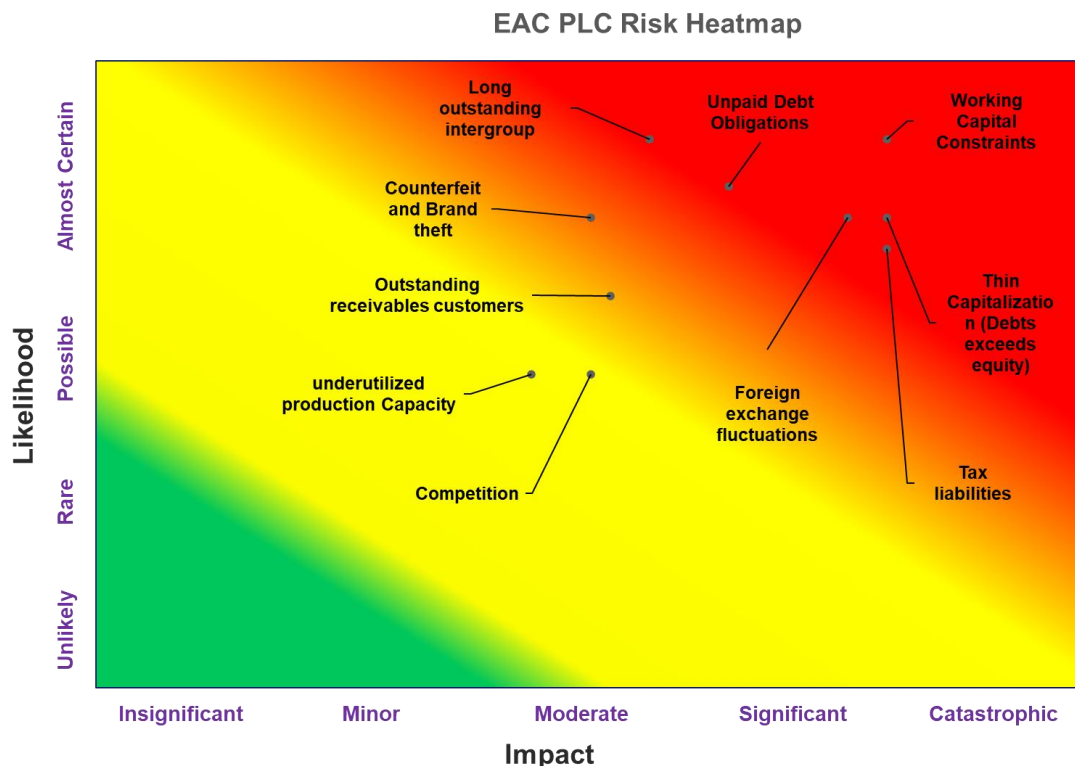
A comprehensive management accounting system is also in place providing financial and operational performance measurement indicators. Regular senior management meetings are held to monitor performance and to agree on measures for improvement.

Materiality matrix

The pertinent risk factors that are consistent with the Group and Company's business plan can be found through materiality analysis, which is regarded as a crucial instrument.

For risk reporting, items that have a considerable impact on the company's economic, social, or environmental performance or that have the potential to significantly affect stakeholders' views and decisions are material (or relevant).

The risk factors should not be considered separately as they may act as triggers or reinforce one another.



EAST AFRICAN CABLES PLC

GOVERNANCE AUDIT

East African Cables Plc (“the Company”), a publicly listed entity on the Nairobi Securities Exchange, is regulated under the Capital Markets Act by the Capital Markets Authority. Recognizing the need for sound Corporate Governance principles in order to succeed in business and win shareholder trust, the Company appointed **Ms. Kiruki & Kayika Advocates (“the Auditor”)** to conduct a Governance Audit of the governance structures, procedures and processes of the Company in order to assure the Board that its goals, structure and operations are consistent with the law, the Code of Corporate Governance Practices for Issuers of Securities in Kenya, 2015 (“the Code”), as well as the latest developments in Corporate Governance; and that the Company has adopted best practices in Corporate Governance as a means of ensuring sustainability.

The scope of the Audit is derived from the Code, the Companies Act, 2015 and the Governance Audit Tool developed by the ICS. More specifically, the Audit covers the following broad areas;

1. Leadership and strategic management;
2. Transparency and disclosure;
3. Compliance with laws and regulations;
4. Communication with stakeholders;
5. Board independence and governance;
6. Board systems and procedures;
7. Consistent shareholder and stakeholders’ value enhancement; and
8. Corporate social responsibility and investment.

Overview

The Code of Corporate Governance Practices for Issuers of Securities in Kenya, 2015 (“the Code”), sets out the principles and specific recommendations on structures and processes, which companies should adopt in making good Corporate Governance an integral part of their business dealings and culture. The Code further specifically requires listed companies to engage the services of an independent and accredited Governance Auditor to establish the extent to which the Board and the Company have applied Corporate Governance principles.

The Governance Audit should be conducted by a competent and recognized professional accredited for that purpose by the Institute of Certified Secretaries (ICS). The Company, in compliance with the Companies Act, 2015 (“Act”) and Code, retained **Ms. Kiruki & Kayika Advocates (“the Auditor”)** to conduct a Governance Audit of the governance structures, procedures and processes of the Company in order to assure the Board that its goals, structure and operations are consistent with the law, the Code, as well as the latest developments in Corporate Governance; and that the Company has adopted best practices in Corporate Governance as a means of ensuring sustainability. The Code further requires that after undergoing the Governance Audit, the Board should provide an explicit statement on the level of compliance.

Over and above the annual self-assessment that the Company is expected to complete on its level of compliance of the Code, the Corporate Governance Statement as provided in this Annual Report will highlight to the Company’s shareholders and various stakeholders, the performance to date.

EAST AFRICAN CABLES PLC

GOVERNANCE AUDITOR'S REPORT (CONTINUED)

Statement of the responsibilities of the Directors

The Board of Directors of East African Cables Plc (“**the Company**” or “**EAC**”) recognizes that it is responsible for formulating policies, procedures, standards, and guidelines, which ensure that the Company is governed in line with the best Corporate Governance standards and that all decisions by the Board and Management are made in accordance with prudent Corporate Governance practices. In this regard therefore, the Board is committed to the highest standards of Corporate Governance and strives to ensure that not only is it fully aware of the legal and regulatory requirements in Corporate Governance, but that it has adopted global best practice. Recognizing the role of Management, the Board also ensures that Management is fully aware of Corporate Governance requirements and that the same are implemented in all spheres of the business.

Being fully aware of its fiduciary duties under the Act, the Board has taken steps to ensure that all Directors promote the success of the Company, that they act in good faith, at all times exercise reasonable care, skill, and diligence, while ensuring that conflicts of interest are avoided or where they occur and that there is a process for managing them.

Governance Policies

Besides complying with the Code and the laws, the Company has committed to embed internal rules of engagement to support corporate governance. These internal guidelines are constituted in various policies to which every employee and the Board makes a commitment to comply with.

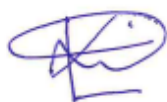
The Board of East African Cables Plc is committed to implementing and adhering to good corporate governance and practice. The Company has instituted systems to implement good corporate governance and acknowledge that there is still room for improvement to align with the Code. The Directors of EAC have therefore adopted this Governance Audit Report for the year ended 31st December 2024, which discloses the state of Governance within the Company.

Governance Auditor’s responsibility

Our responsibility is to express an opinion on the existence and effectiveness of governance instruments, policies, structures, systems, and practices in the organization in accordance with best governance practices as envisaged within the legal and regulatory framework. We conducted our audit in accordance with ICS Governance Audit Standards and Guidelines, which conform to global Standards. These standards require that we plan and perform the Governance Audit to obtain reasonable assurance on the adequacy and effectiveness of the organization’s policies, systems, practices, and processes. The Audit involved obtaining audit evidence on a sample basis. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

Opinion

In our opinion, the Board has put in place a sound governance structures in the Company which are in compliance with the legal and regulatory framework and in line with good governance practices in the interest of stakeholders.



CS. Lousiana Kayika P/CPSB/1408

For: KIRUKI & KAYIKA ADVOCATES

Date: 25 April 2025

EAST AFRICAN CABLES PLC

LEGAL AND COMPLIANCE AUDIT

In compliance with the provisions of the Corporate Governance Code for Issuers of Securities to the Public, 2015, an independent legal and compliance audit for the financial year ending 31 December 2024 was undertaken with the objective of enhancing good corporate governance practices within EAC as well as ascertaining the Company's level of compliance with applicable laws, regulations, and standards. The audit was also aimed at identifying the gaps and areas that require review in order to enhance compliance and efficiency and reduce chances of adverse legal action against EAC arising as a consequence of non-compliance or gaps within EAC's operations.

The independent legal and compliance audit was carried out by **Ms. Kiruki & Kayika Advocates**, led by **Mr. Kiruki Mutwiri**, an Advocate of the High Court of Kenya in good standing with the Law Society of Kenya.

The Auditor reviewed and analysed the audit evidence provided by the Company and observed that the audit evidence was sufficient and appropriate to provide a basis for our opinion. We assessed the level of compliance by the Company with the laws applicable to it.

Audit Opinion

This Legal Audit Report is based on information and documents received from the Company and is not meant to be an endorsement of the Company's policies and practices. Based on our findings, it is our opinion, the Company has substantially complied with material laws and regulations governing its operations. The Company also adheres to other regulations promulgated by the Capital Markets Authority and Nairobi Securities Exchange and the ethical standards prescribed in the Company Code of Conduct. Additionally, the Company abides by the tenets of the Constitution of Kenya and all other laws as a law-abiding corporate citizen.

We recommend that the Board of Directors and Management of EAC act on the recommendations set out in the findings in order to avoid or mitigate the legal risks arising out of partial compliance or non-compliance.



Kiruki Mutwiri

For: **KIRUKI & KAYIKA ADVOCATES**

Date: 25 April 2025

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE

Our approach to Governance

Corporate Governance is the system organization structure and processes by which we direct and manage our business and affairs with the ultimate objective of realizing long terms shareholder value whilst taking account of the rights and interests of the other relevant stakeholders. It is also a tool we use to assure our key stakeholders that the company's operations are being carried out in a manner that benefits the interest of our company.

Our Corporate Governance framework enables both the Group and its subsidiaries to be integrated through a common understanding of: -

- a) The group's mandates and its roles and responsibilities.
- b) The stakeholders' rights, including those of investors, shareholders and the board.
- c) The delegated authority from the board to the group management and the subsidiary board and management.
- d) The business and working relationships and the reporting arrangements between the group and its subsidiaries.
- e) The group's governance requirements include transparency, access and disclosure of information.

Board Responsibility for Corporate Governance

The Board is committed to the highest standards of corporate governance, business integrity and professionalism in all its activities. It is its obligation to comply with aspects of the corporate governance code issued by Capital Markets Authority, the company's act and other relevant regulatory requirements. This includes: -

- a) Policies – formulation of policies, procedures and guidelines to ensure implementation and compliance of corporate governance practices.
- b) Compliance – ensuring compliance with laws, regulations and standards on corporate governance.
- c) Shareholder rights - protection of rights of shareholders to ensure equitable treatment of all shareholders
- d) Internal control systems – formulation of internal control system and risk management framework.

The Board of Directors Charter

The Board and Board Committees' operations and stewardship are governed by the Charters that are contained in Corporate Governance Manual. This manual is well aligned both with the regulatory requirements (The Capital Market Authority of Kenya (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public and The Companies Act) and internal requirements (Memorandum and Articles of Association).

The manual has in place a framework that facilitates the Board to maintain control of the strategic, financial, operational, risk and compliance issues of the company and to hold management accountable for implementation. The Board regularly reviews the Corporate Governance Manual to ensure that it is aligned to all developments in regulation, best practice and stakeholders' expectations. The Board Charter can be accessed on the company's website. www.eacables.co.ke

The Role of The Board

The board sets the strategic objectives for the company with input from management and oversees management performance, remuneration and governance framework. The board develops a work plan to help ensure that it attends to all its responsibilities.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

The key responsibilities of the board are as follows: -

- Define the company's mission, vision, strategy, goals, risk policy plans and objectives, including approval of its annual budgets.
- Oversee the corporate management and operations, management accounts, major capital expenditures and review corporate performance and strategies at least on a quarterly basis.
- Identify the corporate business opportunities as well as principal risks in its operating environment, including the implementation of appropriate measures to manage such risks.
- Develop appropriate staffing and remuneration policy and procedures.
- Review regularly the adequacy and integrity of the company's internal control, acquisition and divestitures and management information systems, including compliance with applicable laws, regulations, rules and guidelines.
- Establish and implement a system that provides necessary information to the shareholders, including shareholder communication policy for the company.
- Monitor the effectiveness of the corporate governance practices under which the company operates and propose revisions as may be required from time to time.
- Consider the interests of the company's shareholders in its decision-making process.

Separation of roles and responsibilities

The roles of the Chairman and Chief Executive officer are separated and established with clear division of responsibilities and delegated authority. The Board Chairman; provides leadership to the Board in ensuring the director's focus in providing oversight and clear vision to the Group and Company. Their responsibilities are: -

The Board Chairman	• enhancing shareholder value and ensuring stakeholders engagement, • ensuring the effective operations of the Board, • establishing the Board agenda for Board meetings and making certain that the Board has all the necessary information for effective decision making, • ensuring that the Board is well established in line with the pre-requisite skills, knowledge and experience required and that the Board Committees are properly established, • communicating and consulting with shareholders and relevant stakeholders on significant issues, as appropriate, • ensuring the effectiveness and development of the Board and individual directors aimed at increasing their awareness of the Company and industry trends, including the applicable legislative framework, to enable them to discharge their duties effectively.
The Chief Executive Officer ("CEO")	• ensuring day-to-day management of the business, in line with the company's strategy and long-term objectives approved by the Board, • providing strategic advice and guidance to the Board and appraising them of any changes relevant to the industry/sector in which the company operates, • preparing and monitoring business plans, • directing and controlling the work and resources of the company, • ensuring recruitment and retention of the required numbers and types of well motivated, trained and developed management staff to ensure the Group and Company meets its vision, mission and objectives, • provides coherent leadership of the Company, including representing the Company to customers, suppliers, governments, shareholders, financial institutions, employees, the media, the community and the public and enhances the Company's reputation among many other roles which are well captured in his Job Description.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Company Secretary	The Company Secretary is a member in good standing with the Institute of Certified Secretaries (ICS). The Company Secretary :- • provides a central source of guidance and advice to the Board on matters of governance, statutory compliance, and compliance with the regulators, • provides the Board and the Directors individually with guidance on how their responsibilities should be discharged in the best interests of the Company, • facilitates the induction, training of new Directors and the Directors' professional development as required. This includes identifying and facilitating continuous Board education among other roles as provided in the Job Description, • The Secretary is also charged with the responsibility of co-ordinating all Board and Board Committee meetings, ensuring that they are properly organized and conducted and implemented in compliance the Company's Memorandum and Articles of Association and its statutory obligations.
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The Role of Non-Executive Directors

The Board had six (6) Non-Executive Directors as at 31 December 2024 and as at the date of this Annual Report. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business. The Non-Executive Directors help develop strategy and are responsible for ensuring that the business strategies proposed are fully discussed and critically reviewed. This enables the Directors to promote the success of the Company for the benefit of its shareholders, with consideration of, among other matters, the interests of employees, the fostering of business relationships with customers, suppliers, and other stakeholders. The Non-Executive Directors oversee the operational performance of the business, scrutinize performance of Management and the Company, bring an external perspective to the Board, monitor reporting of performance and should be available to meet with major stakeholders as appropriate.

Board Composition

The Board is comprised of seven (7) Non-Executive Directors including the Chairman, and one (1) Executive Director. All non-executive directors are independent of management and have diverse skills, experience, and competencies appropriate for effective management of the company's business.

The Non-Executive Directors are subject to periodic re-appointment in accordance with company's Articles of Association which requires that one third of the longest serving directors (since their last election) retire by rotation every year and if eligible their names are submitted for re-election at the Annual General Meeting.

An age limit of seventy (70) years is recommended for directors serving in the Board. However, the Board can recommend for re-election, a director who is above this age based on his/her expertise and competencies. Such a director is required to retire at every Annual General Meeting for re-election.

The Board is responsible for recommending Non-Executive Directors for election by shareholders at the Annual General Meeting. Nominated directors undergo a formal screening process conducted by the Nomination and Governance Committee of the Board before they are formally appointed. Between Annual General Meetings, the Board may appoint directors to serve until the next AGM. Any such appointment of Non-Executive Directors must be ratified by the shareholders at the next AGM following their appointment.

Each Non-Executive Director serves the Board for a renewable term of three years. In accordance with the company's Articles of Association, non-executive directors are subject to periodic re-appointment, one-third of the Non-Executive Directors are required to resign at each AGM and may offer themselves for re-appointment to continue serving the Board.

No director is entitled to any compensation upon the termination or end of their tenure as a member of the board.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Board Composition (Continued)

The composition of the Board is provided in the table below:

	Board Member	Age	Status	Date of Appointment	Date of retirement
1.	Amb. Denis Awori	70	NED	1 st Jul 2013	To retire by rotation. Reappointment by a special notice in 2025 AGM (Over 70 yrs.)
2.	Peter Kanyago	77	NED	12 th Mar 2004	To retire by rotation - Reappointment by a special notice in 2025 AGM (Over 70 yrs.)
3.	TransCentury PLC represented by Nganga Njiinu	47	CD	12 th Mar 2004	To retire by rotation in 2027 AGM
4.	Cable Holdings (K) Limited represented by Wanjuki Muchemi	73	CD	28 th Aug 2018	To retire by rotation. Reappointment by a special notice in 2025 AGM (Over 70 yrs.)
5.	Julius Mwatu	53	INED	24 th Nov 2020	To retire by rotation in 2026 AGM
6.	Carole Kariuki	50	INED	15 th Mar 2019	To retire by rotation in 2025 AGM

**CD: Corporate Director*

**NED: Non-Executive Director*

**INED: Independent, Non-Executive Director*

The Nominations and Governance Committee of the Board is responsible for developing and administering the Non-Executive Directors' policy.

Appointment, Re-election and Tenure of Directors

The board has in place processes that ensure it remains accountable to shareholders, maintains fresh perspective and balance continuity with need for new expertise. The Nomination and Governance committee therefore is charged with the responsibility of ensuring maintenance of the right mix of skills, experience, gender and independence in the appointment, re-election and succession of directors across the group.

The Nomination and Governance committee screens and presents the selected candidates to the Board. The screening is guided by the company's strategic direction, the candidate's knowledge and abilities, expertise and experience required. Directors representing the majority shareholder are nominated by the shareholder to the committee who verify the qualifications of the nominees before submitting to the Board. After scrutinizing the candidates, the Nomination & Governance Committee proposes the selected candidates to the Board for consideration. Upon endorsement, the Board proposes the nomination to the shareholders for approval of the appointment.

The Corporate Governance Guidelines provides for a tenure of three (3) years of any non-executive director, with the potential of further renewal for another 3-year period. To ensure planned and progressive refreshing of the Board, the Board has adopted a Board Rotational policy whereby a number of non-executive directors are re-elected each year at the Annual General meeting (AGM), in line with The Articles of Association.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Board meetings

The board has in place an annual work plan that sets out the board activities in a year. The board meets at least once every quarter and any other time when necessary to consider all matters relating to the overall control of business performance and strategy of the company. The board committees' meetings shall be scheduled before the quarterly board meetings to effectively report to the board the outcome of their respective meetings. The meeting's agenda is aligned to the workplan, and the Company Secretary sends out the notice together with the detailed board packs in advance for directors' review and reference. The submissions and notification period may be waived when urgent and critical matters arise. Where directors are unable to attend a meeting, they are advised on the matters to be discussed and given an opportunity to make their views known to the Chairman prior to the meeting.

The Management Team may be invited to attend the Board and/or Committee meetings if deemed necessary and as appropriate, to make presentations on their areas of responsibility and to give the Directors greater insights into their business areas. Directors are also invited to attend the senior leadership's strategic, and operations review meetings to gain further insights into different aspects of the business.

The board is solely responsible for its agenda. However, it is the responsibility of the Chairman and the Company Secretary, working closely with the Chief Executive Officer, to come up with the annual Board work plan and an agenda for the board meetings.

Except for the direction and guidance on general policy, the board has delegated authority for conduct of day-to-day business to the Managing Director / Chief Executive Officer. The Board nonetheless retains responsibility in maintaining the company's overall internal control on financial, operational and compliance issues.

2024 Board attendance

A summary of the board meetings and attendance is shown below:

	Member	Designation	26.04.2024	26.06.2024	23.08.2024	09.12.2024
1	D Awori	Chairman	✓	✓	✓	✓
2	PT Kanyago	Member	✓	✓	-	✓
3	C Kariuki	Member	-	-	✓	✓
4	J Mwatu	Member	✓	✓	✓	✓
5	TransCentury PLC (Represented by N Njiinu)	Member	✓	✓	✓	-
6	Cable Holdings (K) Limited (Represented by W. Muchemi)	Member	✓	✓	✓	✓
7	P Muigai	Chief Executive Officer	✓	✓	✓	✓
8	V Ndunge	Company Secretary	✓	✓	✓	✓

Board Committees

The Board has five (5) standing committees and each committee has formal and approved terms of reference. The committees are provided with all necessary resources to enable them to undertake their duties effectively. The Board Committees are: -

- a) Nominations and Governance
- b) HR and Remuneration
- c) Audit, Risk and Compliance
- d) Finance and Strategy

e) Commercial

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Board Committees (continued)

The Board is responsible for ensuring that the committees are appropriately constituted with members who have the necessary skills and expertise to handle the responsibilities allocated to them. The Board reviews the mandate of the committees periodically to ensure relevance. The Board Committees are constituted and governed by written Charters / Terms of Reference and carry annual assessment on its effectiveness and performance against the set mandate.

The table below summarizes the Board Committees in place and the key activities for the year ending December 2024.

Board committee	Nominations & Governance	HR & Remuneration	Audit, Risk & Compliance	Finance & Strategy	Commercial
Members	Chairman: Amb Denis Awori Members: Ng'ang'a Njiinu Wanjuki Muchemi Carole Kariuki	Chairman: Amb. Denis Awori Members: Ng'ang'a Njiinu Wanjuki Muchemi Carole Kariuki	Chairman: Julius Mwatu Members: Peter Kanyago Ng'ang'a Njiinu Kamal Pallan	Chairman: Amb. Denis Awori Members: Peter Kanyago Ng'ang'a Njiinu Wanjuki Muchemi Carole Kariuki Julius Mwatu	Chairman: Amb. Denis Awori Members: George Njoroge Ng'ang'a Njiinu
Key role	Responsible for ensuring Governance framework is aligned with the regulatory and Group's Corporate Governance guidelines and proper board constitution for effective and strong leadership to foster a positive corporate culture and enhance shareholders confidence.	Responsible for overseeing the human resources policies, establishment and maintenance of the overall remuneration strategy to ensure fair practices and alignment with labour laws.	Responsible for maintaining transparency, accountability and integrity, and monitoring all risks are appropriately managed and compliance standards are met.	Responsible for overseeing the financial health and strategic direction of the of the company by guiding the board on financial management, market strategies, capital allocation, risk management and long-term planning to ensure that decisions align with the company goals and create sustainable value for shareholders	Evaluation of the Group's route to market, customer service and regional diversification. It also evaluates regional market data and advises the board on the overall market strategy.
2024 activities	• Compliance with various Governance requirements • Directors' recruitment, selection • Board Evaluation • Director's development and training • Governance & Legal Compliance Audit	• Succession Management • Leadership development programs • Review of compensation and benefits programs • Review of Staff establishment and development	• Review of the financial statements • Review of the Risk management framework • Review of the Internal Audit Plan and Audits undertaken within the year • Review of Business Continuity Plan • Review of the Investment Policy	• Strategy execution oversight • Review of financial plans and budget • Review of debt settlement activities • Review of share sale transaction in proposed divestiture from EACTz	• Review of competition landscape and strategies to grow market share. • Market activation planning • Export market approach • Strategic partnerships needed to improve customer experience

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Board Committee meetings attendance

Nomination & Governance committee				HR & Remuneration committee		
Director	18.04.2024	15.08.2024	31.10.2024	18.04.2024	15.08.2024	31.10.2024
Amb. Denis Awori	✓	✓	✓	✓	✓	✓
Ng'ang'a Njiinu	✓	✓	x	✓	✓	x
Wanjuki Muchemi	✓	✓	✓	✓	✓	✓
Carole Kariuki	✓	x	x	✓	x	x

Finance & Strategy Committee			Audit, Risk and Compliance committee			
Director	09.12.2024		Director	12.04.2024	16.08.2024	05.11.2024
Amb. Denis Awori	✓		Julius Mwatu	✓	✓	✓
Peter Kanyago	✓		Peter Kanyago	✓	✓	✓
Ng’ang’a Njiinu	✓		Ng’ang’a Njiinu	✓	✓	x
Wanjuki Muchemi	✓					
Carole Kariuki	✓					
Julius Mwatu	✓					

Commercial Committee	
Director	15.10.2024
Amb. Denis Awori	✓
Ng'ang'a Njiinu	✓

Board Skills and Qualifications

There is an established board skills matrix which is crucial in assessing and tracking the collective skills, experience and competences of each board member to ensure that the board has a well-rounded mix of capabilities to oversee the company effectively. This helps the board to visualize its strength and weaknesses, helping them make informed decisions on board composition, succession and governance.

The matrix is regularly reviewed by the Nomination and Governance Committee to ensure that the board continually has the right mixed skills and experience.

The current board skills matrix is as follows: -

Skills and competences	Amb Awori	P. Kanyago	W. Muchemi	N. Njiinu	J. Mwatu	C. Kariuki	P. Muigai
Years served on EAC Board	11	20	6	7	4	5	6
Age (Yrs)	70	77	73	47	53	50	59
Gender	M	M	M	M	M	F	M
Strategy	✓	✓	✓	✓	✓	✓	✓
Corporate Governance	✓	✓	✓	✓	✓	✓	✓
Business Management	✓	✓	✓	✓	✓	✓	✓
Audit / Finance	x	✓	x	✓	✓	x	x
Risk management	✓	✓	✓	✓	✓	✓	✓
Legal	x	x	✓	x	x	x	x
Marketing/sales/distribution	✓	✓	x	✓	x	✓	✓
Human resources	✓	✓	✓	✓	✓	✓	✓
Manufacturing experience	✓	✓	x	✓	x	x	✓
Engineering	✓	x	x	x	x	x	✓
IT/ Technology	x	x	x	✓	✓	✓	✓
Public affairs	✓	✓	✓	✓	✓	✓	✓

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Board Effectiveness

The effectiveness of the Board in its oversight and leadership role is enhanced by a robust support system. This is facilitated through the following:

- *Board Diversity:* The Board recognizes and embraces the benefits of diversity and views increasing diversity as an essential element in maintaining a competitive advantage. Diversity brings different perspectives into Board debates and offers better anticipation of the risks that are inherent in the business and the opportunities that the business pursues. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business.
- *Management of Conflict of Interest:* Declaration of conflicts of interest is also a standard agenda item which is addressed at the onset of each Board and Committee meeting.
- *Director Induction:* As part of the induction training, detailed presentations by management are factored in, so that the Directors gain a good sense of the Company's operations and central functions. The induction process of a new Director is initiated by the Chairman of the Board and is progressed by the Chief Executive Officer, members of the Senior Leadership Team and the Company Secretary.
- *Training and Development:* Board members undergo regular training and education to enable them to fulfil their responsibilities.
- *Access to Independent Advice:* The Board recognizes that there may be occasions when one or more Directors consider it necessary to take independent advice on various matters, at the Company's expense. This is provided for in the Board Charter and the Terms of Reference of each Committee.
- *Evaluation:* In line with the provisions of the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015, the Board evaluates its performance as an entity, its committees, the chairman, the Chief Executive Officer, the Company Secretary, and each individual director.
- *Governance Audit:* In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, the Board appointed Kiruki & Kayika Advocates to conduct the Company's Governance Audit for the period ended 2024. The Governance Audit Report was adopted by the Board of Directors on 25th April 2025, the recommendations of which are under implementation. In the opinion of the Governance Auditor, the Board has put in place a governance framework that is compliant with the legal and regulatory corporate governance requirements. The Company was issued with an unqualified opinion.
- *Legal and Compliance Audit:* In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, the Board appointed Kiruki & Kayika Advocates to conduct an external Legal and Compliance Audit for the year ended 31 December 2024 with the objective of ascertaining the level of adherence to applicable laws, regulations, and standards in order to deliver long-term value to stakeholders. The findings from the audit confirmed that the Company was compliant with applicable laws and regulations.

Board remuneration

The Board has delegated responsibility for the consideration and approval of the remuneration arrangements of the Chairman and Directors to the Governance and Nominations Committee. Non-executive directors are paid a sitting allowance for every meeting attended in addition to a quarterly retainer fee.

Details of the fees paid to directors in the financial year under review are set out in the directors' remuneration report on page 47-49.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE (CONTINUED)

Directors' loans

There were no loans made to the directors at any time during the year by virtue of their position in the group and company.

Financial and Business reporting

The group and company continue to adopt the presentation and disclosure requirements of the International Financial Reporting Standards (IFRSs), The Kenya Companies Act, 2015 and other regulatory requirements. Changes and developments in the standards and other regulations within the financial period under review have been complied with.

The board confirms that the financial statements are prepared on a going concern basis and is satisfied that the group and company have adequate resources to continue in business for the foreseeable future.

In making this assessment, the directors consider a wide range of information relating to present and anticipated future conditions including future projections of profitability, cash flows, capital and other resources. We draw your attention to note 2(f) on pages 69 to 70 detailing measures undertaken by the board and management to turnaround the business back to profitability.

Employment equity

The Group is committed to creation of an organization that supports equality of all employees and is committed to elimination of any form of discrimination in the workplace. Our practice is to comply with all laws prohibiting discrimination.

Ethics and code of conduct

Directors are expected to carry out their duties in a ethical manner as guided by the established code of ethics and conduct framework for Transcentury. The directors and employees are expected to act with honesty, integrity and fairness in all their dealings. Upon joining the company every employee is provided with a copy of the code of conduct and must committee to abide by its requirements as part of their employment contract. The code of conduct framework has also been integrated with the company's operations through the development of various policies to ensure compliance

Whistle blowing policy

East African Cables PLC has set high standards for its operations to ensure integrity and quality delivery. Employees are often the first to realize that there may be something seriously wrong within the organization. However, they may not express their concerns because they feel that speaking up would be disloyal to their colleagues or to the company. They may also fear harassment or victimization. The company has developed a whistle blowing policy to encourage and provides channels for employees to report exceptional incidences without fear of victimization, discrimination, or disadvantage.

Reportable misconducts and potential irregularities under the policy include all forms of financial malpractices, non-compliance with regulations, criminal activities, improper conduct or unethical behaviours, corporate governance breaches, non-disclosure of interests, sexual and physical abuse of staff and other stakeholders among other vices.

The policy available on our website www.eacables.co.ke, provides clear reporting mechanism through telephone and dedicated email address with assurance of anonymity for whistle-blowers. The staff have also been sensitized through training on reportable incidences, how to make the reports and assurance of confidentiality to providers of information. All reported incidences are directed to individual or teams appropriate to handle the matters reported for further investigation and action.

The board has also maintained an open-door policy allowing for easy escalation of issues. Staff members are regularly sensitised on the need to report any suspected unethical business practices.

EAST AFRICAN CABLES PLC
DIRECTORS REMUNERATION REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024

INFORMATION NOT SUBJECT TO AUDIT

Information not subject to audit comprise the Company's policy on director's remuneration, Contract of service of directors, Statement of voting at general meeting on directors' remuneration and any substantial changes to the director's remuneration during the year.

(a) Non-Executive Directors' remuneration policy

The fees for Non-Executive Directors are set at a level which is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. The amount of fees reflects the attached responsibility and time commitment. Additional fees are paid for further responsibilities such as chairing committees and sitting on appointed board committees. The value of benefits provided is reasonable in the market context and takes into account the individual circumstances and benefits provided in comparable roles for companies within the industry.

(b) Executive Director's remuneration policy

Executive directors are remunerated in accordance with the staff remuneration policy. Their remuneration package comprises of basic pay, pension and other and other benefits designed to recognize the contribution, skills and experience.

The Executive Director is entitled to the following remuneration:

1. Consolidated basic pay

This is the consolidated base salary paid to the Executive Director.

2. Allowances

Allowances paid include a house allowance and a telephone allowance.

3. Bonus

The Executive Director is entitled to performance-based bonus pay. The bonus is paid based on the performance of the business and on the existing bonus policy.

4. Pension contribution

On a monthly basis, the business contributes 10.75% of basic pay towards the pension of the Executive Director.

5. Club membership

The Executive Director is entitled to paid membership to a social or fitness club.

6. Medical insurance cover

As per Group and Company's Human Resources policy, the Executive Director, like other employees, is entitled to medical insurance cover for their individual and family medical requirements covering both out-patients and in-patients.

EAST AFRICAN CABLES PLC

DIRECTORS REMUNERATION REPORT FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

7. Group life assurance cover

As provided to all employees, the Executive Director is entitled to a death in service benefit. This is payable to beneficiaries of the Executive Director at a maximum of three years' pay.

8. Professional indemnity cover

This is provided in line with best market practice to provide protection for the Executive Director in undertaking their duties in such a capacity.

(c) Substantial changes to director's remuneration

There were no substantial changes relating to the directors' remuneration made during the year (2023 – None).

(d) Statement of voting at general meeting on directors' remuneration

In the last AGM held on 26 June 2024, the shareholders unanimously passed a resolution to approve the directors' remuneration report and the directors' remuneration policy.

INFORMATION SUBJECT TO AUDIT (AUDITABLE PART)

Information subject to audit (auditable part) comprises the amounts of each director's emoluments and compensation in the relevant years. The following amounts were paid to Directors in the year under review.

i. Non- Executive Directors' remuneration for the year ended 31 December

	2024				2023		
Name	Fees	Sitting allowance	Total		Fees	Sitting allowance	Total
	KShs '000	KShs '000	KShs '000		KShs '000	KShs '000	KShs '000
MG Waweru	1,500	-	1,500		3,000	480	3,480
D Awori	2,400	560	2,960		1,800	640	2,520
PT Kanyago	1,800	400	2,200		1,800	560	2,520
C Kariuki	1,800	240	2,040		1,800	400	2,520
Cable Holdings Limited Represented by W Muchemi	1,800	480	2,280		1,800	560	2,360
J Mwatu	1,800	480	2,280		1,800	480	2,280
TransCentury PLC Represented by N Njiinu	-	-	-		-	-	-
Total Company	11,100	2,160	13,260		12,000	3,120	15,120

Note: Mr. Nganga Njiinu is a director nominated by the Company's ultimate shareholder, Transcentury Plc. He does not earn any personal emolument for being on the board.

EAST AFRICAN CABLES PLC

DIRECTOR'S REMUNERATION REPORT **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

INFORMATION SUBJECT TO AUDIT (AUDITABLE PART) (Continued)

ii. Executive Directors' remuneration for the year ended 31 December

2024						2023			
Name	Basic Pay	Benefits & allowances	Noncash benefits	Total		Basic Pay	Benefits & allowances	Noncash benefits	Total
	KShs '000	KShs '000	KShs '000	KShs '000		KShs '000	KShs '000	KShs '000	KShs '000
Paul Muigai	22,856	5,199	12	28,066		22,119	5,033	12	27,164

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Companies Act, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure parties (see Note 24 to the consolidated and separate financial statements).

BY ORDER OF THE BOARD



Virginia Ndunge
Secretary

Date: 25 April 2025



EAST AFRICAN CABLES PLC

Top ten shareholders

	Shareholder Name	No. of Shares	% Shareholding
1	Cable Holdings (Kenya) Limited	173,071,149	68.37%
2	Zed Holdings Limited	4,054,525	1.60%
3	Ali Mohamed Adam	3,846,562	1.52%
4	Mbogori Holdings Limited	3,310,000	1.31%
5	Njiru, Cyrus	3,300,000	1.30%
6	Juma, Abdulrehman Abdulkarim	2,982,600	1.18%
7	Patrick Njogu Kariuki Family Trust	2,040,400	0.81%
8	Nairobi Nominees Ltd A/c J.S. Donovan	1,765,450	0.70%
9	Arina, Peter Munyiri Kaka	1,673,564	0.66%
10	Patel, Jitendra Chandubhai Patel & Kirankumar Chandubhai	1,419,462	0.56%
	Others	55,661,288	21.99%
	Total	253,125,000	100%

Distribution of shareholding

Volume	No. of Shareholders	No. of Shares	% shareholding
1 - 500	8,388	1,579,768	0.62%
501 - 5,000	6,097	10,092,953	3.99%
5,001 - 10,000	598	4,250,847	1.68%
10,001 - 100,000	725	20,182,904	7.97%
100,001 - 1,000,000	72	17,230,016	6.81%
Above 1,000,000	14	199,788,512	78.93%
TOTALS	15,894	253,125,000	100%

Shareholder analysis by domicile

Domicile	No. of Shareholders	No. of Shares	% shareholding
Local companies	790	190,297,988	75.18%
Local individuals	15,020	61,255,406	24.20%
Foreign companies	8	69,100	0.03%
Foreign individuals	76	1,502,506	0.59%
Total	15,894	253,125,000	100%

EAST AFRICAN CABLES PLC
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2024

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2024, which disclose the state of affairs of the company and the group.

1. Activities

The group and company's principal activities continue to be the manufacture and sale of electrical cables and conductors.

2. Results

The group and company's results (financial performance) for the year are set out on pages 58 and 59 respectively.

3. Dividends

The directors do not recommend the payment of a dividend (2023 – Nil).

4. Directors

The directors who served during the year and up to the date of this report are set out on page 2 and their details disclosed on pages 15 to 18.

5. Business review

The Group's and Company's business review is set out on pages 22 - 24.

6. Relevant audit information

The directors in office at the date of this report confirm that:

- (i) There is no relevant audit information of which the company's auditor is unaware; and
- (ii) Each director has taken all the steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of this information.

7. Employees.

The Group and Company maintained a good relationship with its employees during the year. The average number of staff employed by the Group and Company is as shown below.

	Group		Company	
	2024	2023	2024	2023
Senior Management	10	11	6	7
Other Staff	187	183	154	157

8. Auditor

The Company's auditor, RSM Eastern Africa LLP, has indicated willingness to continue in office in accordance with the Companies Act.

EAST AFRICAN CABLES PLC

REPORT OF THE DIRECTORS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

9. Going concern

The group and company recorded net losses of KShs 358.76 million and KShs 190.24 million respectively during the year ended 31 December 2024 (2023 net loss – Group KShs 301.88 million, Company - KShs 550.61 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,677.49 million (2023 – KShs 2,637.59 million).

As disclosed in Note 2(f), the Directors are aware that a material uncertainty exists that may cast significant doubt about the Group's and Company's ability to continue as a going concern, and therefore the Group and/or Company may be unable to realize their assets and discharge their liabilities in the normal course of business. However, the Board and management have put in place initiatives to ensure the Group and Company continue as a going concern for the foreseeable future. Those initiatives are detailed in note 2(f) found on pages 69 and 70.

10. Directors' interests

Directors direct interest in the shares of the Company were as follows:

	2024	2023
Name	No. Of shares held	No. Of shares held
Transcentury Plc*	Nil	Nil
Cable Holdings (K) Limited	121,596,130	173,071,149
P. T. Kanyago	3,750	3,750
D. Awori	Nil	Nil
C. Kariuki	Nil	Nil
J Mwatu	Nil	Nil

* *Transcentury Plc's interest in the group and company is held through Cable Holdings (K) Limited.*

11. Approval of financial statements

The financial statements were approved and authorised for issue at a meeting of the directors held on 25 April 2025.

BY ORDER OF THE BOARD

Virginia Ndunge
Secretary

Date: 25 April 2025



EAST AFRICAN CABLES PLC

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the consolidated and separate financial statements of East African Cables PLC (Group and Company) set out on pages 58 to 114 which comprise the consolidated and separate statements of financial position as at 31 December 2024, and the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in the circumstances, preparation and presentation of the financial statements in accordance with International Financial Reporting Standards and in the manner required by the Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Companies Act, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the financial position of the group and of the company as at the end of the financial year and of the profit or loss of the group and the company for that year. It also requires the Directors to ensure the company and its subsidiary keep proper accounting records which disclose with reasonable accuracy the financial position and profit or loss of the group and the company.

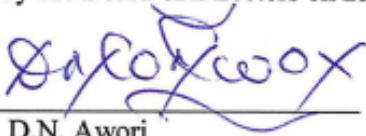
The Directors accept responsibility for the annual consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the financial position of the group and the company and of the group and the company profit or loss.

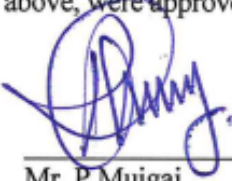
The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

As discussed at note 2(f) to the financial statement, the Directors have made an assessment of the group's and the company's ability to continue as a going concern and are aware of the existence of a material uncertainty related to events and conditions that may cast significant doubt on the Group and Company's ability to continue as a going concern and have put in place measures disclosed at note 2(f) to ensure the Group and Company continue as a going concern for at least the next twelve months from the date of this statement.

Approval of the consolidated and separate financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 25 April 2025.


Amb. D.N. Awori
Chairman


Mr. P Muigai
Chief Executive Officer and
Managing Director

Date: 25 April 2025



RSM

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INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC

Opinion

We have audited the consolidated and separate financial statements of East African Cables PLC (the Group and Company) as set out on pages 58 to 114, which comprise the consolidated and company statements of financial position as at 31 December 2024, and the consolidated and company statements of profit or loss and other comprehensive income, consolidated and company statements of changes in equity, consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies..

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of East African Cables PLC as at 31 December 2024, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Companies Act.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to Note 2(f) in the financial statements, which indicates that during the year ended 31 December 2024, the group and company incurred net losses of KShs 358.76 million and KShs 190.24 million respectively during the year ended 31 December 2024 (2023 net loss – Group KShs 301.88 million, Company - KShs 550.61 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,677.49 million (2023 – KShs 2,637.59 million). As stated in Note 2(f), these events or conditions, along with other matters as set forth in Note 2(f), indicate that a material uncertainty exists that may cast significant doubt on the Group's and Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

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Registration number: LLP-3A1VXM, a limited liability partnership under the Limited Liability Partnership Act, 2011.

Partners: Ashif Kassam, Lina Ratansi, Nihla Mazrui, Elvis Ogeto, George Mutua

RSM Eastern Africa LLP is a member of the RSM network and trade as RSM. RSM is the trading name used by the members of the RSM Network. Each member of the RSM network is an independent accounting and consulting firm, each of which practises in its own right. The RSM network is not itself a separate legal entity of any description in any jurisdiction.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)**

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the *Material uncertainty related to going concern* section, we have determined the matters described below to be the key audit matters to be communicated in our report.

Determination of expected credit losses on trade and other receivables	
See Note 3(l)(vi), 6(a), 17 and 27(a) to the consolidated and separate financial statements	
Key audit matter	How the matter was addressed in our audit
The group's and company's trade and other receivables amounted to KShs 271 million and KShs 243 million respectively as at 31 December 2024. Significant judgement is involved in assessing the recoverability of trade and other receivables and in estimating the expected credit losses (ECL) required to be recognised against the gross trade and other receivables. The key areas where we identified greater levels of management judgement and therefore increased audit focus was the determination of historical loss rate and the application of forward-looking information to determine the ECL. We determined this area to be a key audit matter in our audit due to the significant judgments involved in determining ECL.	Our procedures in this area included: — Evaluating the group's methodology (provisioning matrix) for measuring ECL against the requirements of IFRS 9 Financial Instruments to determine the appropriateness of the ECL; — Evaluating the mathematical accuracy of the provisioning matrix by agreeing the invoice dates in the aging reports used to develop the matrix to the physical invoice dates, re-aging of the historical sales invoices using the invoice dates and comparing to that used in the provisioning matrix and recalculating the historical loss rates using the receivables aging buckets; — Challenging management's assessment and inclusion of forward-looking information by evaluating the correlation between the forward-looking information and the historical loss rates; and — Evaluating the adequacy of the disclosures made in the financial statements, including disclosures of key assumptions and judgements by reference to IFRS 7 Financial Instruments: Disclosures
Impairment of the plant and machinery	
See Note 3(n) and 11 to the financial statements	
Key audit matter	How the matter was addressed in our audit
The group's and company's plant and machinery of KShs 862 million and KShs 604 million respectively as at 31 December 2024 is accounted for at fair value. Because of the existence of indicators of impairment of the assets, it was necessary to determine its recoverable amount in order to assess whether there was any impairment. In assessing the assets recoverable amount, the directors and management, used the discounted cash flow method (DCF method). The discounted cash flow method involves the exercise of significant judgement and use of assumptions regarding future performance and cash flows, which are subject to significant estimation uncertainties. We determined the plant and machinery to be a key audit matter because of the significance of the amount and the related estimation uncertainty, on the assumptions used by management and directors to determine the recoverable amount, particularly those relating to the cash flow projections, growth rates, terminal values and discount rates used in the valuation model.	Our procedures in this area included: — Involving our valuation specialists in evaluating the valuation techniques and assumptions used by the company and its subsidiary; — Challenging the key assumption regarding projected growth rate and future cash flows against historical trends, post-balance sheet performance, industry trends and availability of working capital; — Evaluating the appropriateness of the discount rate used to present value the future cash flows by comparing the discount rate used to the average cost of capital for similar industries; and — Evaluating the appropriateness of the disclosures made in the financial statements, including key assumptions and judgements in accordance with IFRS 13 Fair Value Measurements

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)

Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled “*East African Cables PLC Annual Report and Financial Statements at 31 December 2024*”, but does not include the consolidated and separate financial statements, and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Companies Act as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRSs and in the manner required by the Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group’s and the Company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor’s responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group’s and the Company’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors
- Conclude on the appropriateness of the directors’ use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s and the Company’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor’s report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)**

Auditor's responsibilities for the audit of the consolidated and separate financial statements (Continued)

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Companies Act, we report to you, based on our audit, that in our opinion:

- (i) The information in the report of the directors on pages 51 to 52 is consistent with the consolidated and separate financial statements; and
- (ii) The auditable part of the Directors' Remuneration Report on pages 47 to 49, has been prepared in accordance with the requirements of the Companies Act.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Elvis Ogeto**, Practising Certificate No. 2303.

for and on behalf of RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

Date: 25 April 2025
135/2025

EAST AFRICAN CABLES PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME **FOR THE YEAR ENDED 31 DECEMBER 2024**

		2024	2023
	Note	KShs '000	KShs '000
Revenue	4(a)	2,566,273	2,524,553
Cost of sales	4(c)	(1,810,390)	(1,854,293)
Gross profit		755,883	670,260
Other income	4(b)	12,617	20,717
Factory expenses	4(c)	(159,661)	(152,740)
Administrative expenses	4(c)	(331,594)	(459,413)
Selling and distribution expenses	4(c)	(98,352)	(98,546)
Profit / (loss) before depreciation, impairment and finance costs		178,893	(19,722)
Impairment (loss) / writeback on trade receivables and contract assets	6(a)	(29,537)	2,423
Depreciation and amortisation	6(b)	(190,032)	(194,385)
Results from operating activities		(40,676)	(211,684)
Interest expense	7	(482,952)	(337,034)
Exchange (losses) / gains	7	(12,801)	93,787
Net finance costs	7	(495,753)	(243,247)
Loss before income tax	8	(536,429)	(454,931)
Income tax credit	9	177,667	153,054
Loss for the year		(358,762)	(301,877)
Other comprehensive income			
<i>Items that are or may reclassified to profit or loss:</i>			
Re-measurement gain on retirement benefit plan	20	1,524	9,864
Deferred tax effect on remeasurement gain	21	(457)	(2,959)
		1,067	6,905
Foreign currency translation differences on foreign operations		(11,297)	(47,984)
Total other comprehensive income		(10,230)	(41,079)
Total comprehensive income for the year		(368,992)	(342,956)
Loss for the year attributable to:			
Owners of the company		(248,557)	(205,621)
Non-controlling interest		(110,205)	(96,256)
		(358,762)	(301,877)
Total comprehensive income attributable to:			
Owners of the company		(282,887)	(226,109)
Non-controlling interest		(86,105)	(116,847)
		(368,992)	(342,956)
Basic and diluted earnings per share	10	<u>KShs (0.98)</u>	<u>KShs (0.81)</u>

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME **FOR THE YEAR ENDED 31 DECEMBER 2024**

		2024	2023
	Note	KShs '000	KShs'000
Revenue	4(a)	2,417,004	2,322,295
Cost of sales	4(c)	<u>(1,693,609)</u>	<u>(1,694,015)</u>
Gross profit		723,395	628,280
Other income	4(b)	10,422	7,657
Factory expenses	4(c)	(135,090)	(122,273)
Administrative expenses	4(c)	(263,457)	(298,901)
Selling and distribution expenses	4(c)	<u>(88,073)</u>	<u>(84,890)</u>
Profit before depreciation, impairment and finance costs		247,197	129,873
Impairment loss on trade receivables and contract assets	6(a)	(17,027)	(466,271)
Depreciation and amortisation	6(b)	<u>(147,716)</u>	<u>(148,263)</u>
Results from operating activities		82,454	(484,661)
Interest expense	7	(367,909)	(269,114)
Net exchange (losses) / gains	7	(17,315)	25,232
Net finance cost	7	<u>(385,224)</u>	<u>(243,882)</u>
Loss before income tax	8	(302,770)	(728,543)
Income tax credit	9	<u>112,529</u>	<u>177,937</u>
Loss for the year		<u>(190,241)</u>	<u>(550,606)</u>
Other comprehensive income			
<i>Items that are or may be reclassified to profit or loss:</i>			
Re-measurement (loss)/ gain on retirement benefit plan	20	(2,370)	5,740
Deferred tax effect on re-measurement (loss)/gain	21	<u>711</u>	<u>(1,722)</u>
Total other comprehensive income		<u>(1,659)</u>	<u>4,018</u>
Total comprehensive income for the year		<u>(191,900)</u>	<u>(546,588)</u>

EAST AFRICAN CABLES PLC

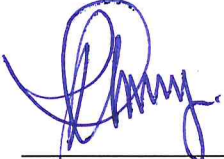
CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

		2024	2023
ASSETS	Note	KShs'000	KShs'000
Non-current assets			
Property, plant and equipment	11(a)	1,931,996	2,155,985
Right-of-use assets	12	1,866,593	2,081,084
Investment properties	13	<u>219,357</u>	<u>259,216</u>
		<u>4,017,946</u>	<u>4,496,285</u>
Current assets			
Inventories	16	417,718	441,076
Trade and other receivables	17	304,382	365,671
Current tax recoverable	9(c)	2,170	-
Cash and cash equivalents	25(b)	<u>42,720</u>	<u>105,259</u>
		<u>766,990</u>	<u>912,006</u>
TOTAL ASSETS		<u>4,784,936</u>	<u>5,408,291</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Issued capital	18(a)	126,563	126,563
Share premium	18(b)	545	545
Revaluation reserve	18(c)	2,023,209	2,023,209
Retained earnings		(1,709,611)	(1,460,785)
Foreign currency translation reserve	18(d)	<u>(183,763)</u>	<u>(149,702)</u>
Total equity attributable to equity holders of the company		256,943	539,830
Non-controlling interest	18(e)	<u>(259,489)</u>	<u>(173,384)</u>
Total equity		<u>(2,546)</u>	<u>366,446</u>
Non-current liabilities			
Bank loans and borrowings	19(a)	275,460	320,633
Shareholders loan	24(e)	992,322	867,880
Liability for staff gratuity	20	44,142	41,042
Deferred tax liability	21(a)	<u>31,082</u>	<u>262,695</u>
		<u>1,343,006</u>	<u>1,492,250</u>
Current liabilities			
Trade and other payables	22	1,157,242	1,447,846
Short-term portion of bank loan	19(a)	2,274,130	2,091,902
Current tax payable	9(c)	9,080	4,974
Dividends payable	23	<u>4,024</u>	<u>4,873</u>
		<u>3,444,476</u>	<u>3,549,595</u>
TOTAL EQUITY AND LIABILITIES		<u>4,784,936</u>	<u>5,408,291</u>

The financial statements on pages 58 to 114 were approved and authorised for issue by the Board of Directors on 25 April 2025 and were signed on its behalf by:



Amb. D.N. Awori
Chairman



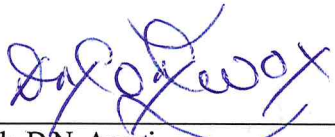
Mr. P Muigai
Chief Executive Officer and
Managing Director

EAST AFRICAN CABLES PLC

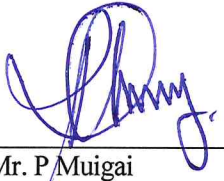
SEPARATE STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

		2024	2023
ASSETS	Note	KShs'000	KShs'000
Non-current assets			
Property, plant and equipment	11(b)	1,436,232	1,537,493
Right-of-use assets	12	1,032,984	1,076,859
Investment in subsidiary	15	25,858	31,292
Deferred tax assets	21(b)	<u>327,371</u>	<u>212,198</u>
		<u>2,822,445</u>	<u>2,857,842</u>
Current assets			
Inventories	16	393,309	382,679
Trade and other receivables	17	334,728	469,256
Cash and cash equivalents	25(b)	<u>42,357</u>	<u>33,524</u>
		<u>770,394</u>	<u>885,459</u>
TOTAL ASSETS		<u>3,592,839</u>	<u>3,743,301</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Issued capital	18(a)	126,563	126,563
Share premium	18(b)	545	545
Revaluation reserve	18(c)	1,390,866	1,390,866
Retained earnings		<u>(1,305,614)</u>	<u>(1,113,714)</u>
		<u>212,360</u>	<u>404,260</u>
Non-current liabilities			
Bank loans and borrowings	19(a)	275,460	320,633
Shareholders loan	24(e)	992,322	867,880
Liability for staff gratuity	20	<u>29,410</u>	<u>21,873</u>
		<u>1,297,192</u>	<u>1,210,386</u>
Current liabilities			
Trade and other payables	22	464,925	611,351
Short-term portion of bank loans and borrowings	19(a)	1,605,258	1,503,966
Current tax payable	9(c)	9,080	8,465
Dividend payable	23	<u>4,024</u>	<u>4,873</u>
		<u>2,083,287</u>	<u>2,128,655</u>
TOTAL EQUITY AND LIABILITIES		<u>3,592,839</u>	<u>3,743,301</u>

The financial statements on pages 58 to 114 were approved and authorised for issue by the Board of Directors on 25 April 2025 and were signed on its behalf by:



Amb. D.N. Awori
Chairman



Mr. P Muigai
Chief Executive Officer and
Managing Director

EAST AFRICAN CABLES PLC
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Revenue reserve KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non- controlling interest KShs'000	Total equity KShs'000
2024								
Balance at 1 January 2024	126,563	545	2,023,209	(1,460,785)	(149,702)	539,830	(173,384)	366,446
Loss for the year	-	-	-	(248,557)	-	(248,557)	(110,205)	(358,762)
Other comprehensive income								
<i>Items that are or may be reclassified to profit or loss:</i>								
Re-measurement gain on defined benefit plan	-	-	-	(384)	-	(384)	1,908	1,524
Deferred tax	-	-	-	115	-	115	(572)	(457)
Foreign currency translation differences on foreign operations	-	-	-	-	(34,061)	(34,061)	22,764	(11,297)
Total other comprehensive income	-	-	-	(269)	(34,061)	(34,330)	24,100	(10,230)
Total comprehensive income for the year	-	-	-	(248,826)	(34,061)	(282,887)	(86,105)	(368,992)
Balance at 31 December 2024	<u>126,563</u>	<u>545</u>	<u>2,023,209</u>	<u>(1,709,611)</u>	<u>(183,763)</u>	<u>256,943</u>	<u>(259,489)</u>	<u>(2,546)</u>
2023								
Balance at 1 January 2023	126,563	545	2,023,209	(1,260,654)	(123,724)	765,939	(56,537)	709,402
Loss for the year	-	-	-	(205,621)	-	(205,621)	(96,256)	(301,877)
Other comprehensive income								
<i>Items that are or may be reclassified to profit or loss:</i>								
Re-measurement gain on defined benefit plan	-	-	-	7,843	-	7,843	2,021	9,864
Deferred tax	-	-	-	(2,353)	-	(2,353)	(606)	(2,959)
Foreign currency translation differences on foreign operations	-	-	-	-	(25,978)	(25,978)	(22,006)	(47,984)
Total other comprehensive income	-	-	-	5,490	(25,978)	(20,488)	(20,591)	(41,079)
Total comprehensive income for the year	-	-	-	(200,131)	(25,978)	(226,109)	(116,847)	(342,956)
Balance at 31 December 2023	<u>126,563</u>	<u>545</u>	<u>2,023,209</u>	<u>(1,460,785)</u>	<u>(149,702)</u>	<u>539,830</u>	<u>(173,384)</u>	<u>366,446</u>

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Revenue reserve KShs '000	Total KShs '000
2024					
Balance at 1 January 2024	126,563	545	1,390,866	(1,113,714)	404,260
Comprehensive income for the year					
Loss for the year	-	-	-	(190,241)	(190,241)
Other comprehensive income					
<i>Items that are or may be reclassified to profit or loss</i>					
Re-measurement gain on defined benefit plan (Note 20)	-	-	-	(2,370)	(2,370)
Deferred tax (Note 22)	-	-	-	711	711
Total other comprehensive income	-	-	-	(1,659)	(1,659)
Total comprehensive income for the year	-	-	-	(191,900)	(191,900)
Balance at 31 December 2024	126,563	545	1,390,866	(1,305,614)	212,360
2023					
Balance at 1 January 2023	126,563	545	1,390,866	(567,126)	950,848
Comprehensive income for the year					
Loss for the year	-	-	-	(550,606)	(550,606)
Other comprehensive income					
<i>Items that are or may be reclassified to profit or loss</i>					
Re-measurement gain on defined benefit plan (Note 20)	-	-	-	5,740	5,740
Deferred tax (Note 22)	-	-	-	(1,722)	(1,722)
Total other comprehensive income	-	-	-	4,018	4,018
Total comprehensive income for the year	-	-	-	(546,588)	(546,588)
Balance at 31 December 2023	126,563	545	1,390,866	(1,113,714)	404,260

EAST AFRICAN CABLES PLC

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 KShs'000	2023 KShs'000
Cash generated from operations	25(a)	552,402	231,133
Income taxes paid	9(c)	(1,318)	(3,649)
Cash flows generated from operating activities		<u>551,084</u>	<u>227,484</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	11(a)	(2,580)	(3,913)
Net cash used in investing activities		<u>(2,580)</u>	<u>(3,913)</u>
Cash flows from financing activities			
Repayment of bank loans and borrowings	19(b)	(57,296)	(77,019)
Interest accrued		(552,899)	(170,262)
Dividends paid	23	(849)	(252)
Net cash used in financing activities		<u>(611,043)</u>	<u>(247,533)</u>
Net decrease in cash and cash equivalents		<u>(62,539)</u>	<u>(23,962)</u>
Cash and cash equivalents at 1 January		<u>105,259</u>	<u>129,221</u>
Cash and cash equivalents at 31 December	25(b)	<u>42,720</u>	<u>105,259</u>

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 KShs'000	2023 KShs'000
Cash generated from operations	25(a)	200,882	166,303
Income tax paid	9(c)	<u>(1,318)</u>	<u>(1,018)</u>
Cash generated from operating activities		<u>199,564</u>	<u>165,285</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	11(b)	<u>(2,580)</u>	<u>(1,982)</u>
Net cash used in investing activities		<u>(2,580)</u>	<u>(1,982)</u>
Cash flows from financing activities			
Repayment of bank loans and borrowings	19(b)	(42,997)	(36,849)
Interest paid		(144,305)	(131,927)
Dividends paid	23	<u>(849)</u>	<u>(252)</u>
Net cash used in financing activities		<u>(188,151)</u>	<u>(169,028)</u>
Net increase /(decrease) in cash and cash equivalents		8,833	(5,725)
Cash and cash equivalents at 1 January		<u>33,524</u>	<u>39,249</u>
Cash and cash equivalents at 31 December	25(b)	<u>42,357</u>	<u>33,524</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024**

1. REPORTING ENTITY

East African Cables Plc (“the Company”) is a public limited liability company incorporated in Kenya under the Companies Act and is domiciled in Kenya. The consolidated financial statements as at and for the year ended 31 December 2024 comprise the company, East African Cables Plc and its subsidiary East African Cables (Tz) Ltd (together referred to as the “Group”). The Group is primarily involved in the manufacture and sale of electrical cables and conductors.

The address of its registered office and principal place of business is stated on Page 2.

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated and separate financial statements (hereafter referred to as financial statements) have been prepared in accordance with International Financial Reporting Standards (IFRSs) and the Companies Act.

For Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income.

(b) Basis of measurement

The consolidated and separate financial statements have been prepared on the historical cost basis as modified by revaluation of certain items of property, plant and equipment, prepaid operating lease rentals and investment property which is measured at fair value and liability for staff gratuity subjected to actuarial valuation.

Details of the significant accounting policies are included in Note 3.

(c) Functional and presentation currency

These consolidated and separate financial statements are presented in Kenya Shillings (KShs), which is the Company’s functional and presentation currency. All financial information presented has been rounded to the nearest thousand (“KShs ‘000”) except where otherwise indicated.

(d) Use of judgements and estimates

The preparation of financial statements in conformity with IFRSs requires management to make judgement, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reported period. The estimates and assumptions are based on the Directors’ best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(d) Use of judgements and estimates (continued)

Specifically, critical judgements, assumptions and estimation uncertainties are required in the following:

(i) Consolidation

Judgement is required on whether the group has de-facto control over an investee (Note 3(b)(i)). Judgement is also made during acquisition of subsidiaries where fair value is measured on a provisional basis.

(ii) Lease classification

Judgement is required in assessing whether a contract contains a lease on the basis of whether the customer has the right to control the use of an identified asset for a period of time. Note 3(f)).

(iii) Employee benefits

Certain assumptions are made when estimating employee benefit liabilities under gratuity schemes (Note 3(h)).

(iv) Taxation

Judgement is required in determining the provision for income taxes due to the complexity of legislation. The Group and Company recognise liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

The Group recognises the net future tax benefit that relates to deferred income tax assets to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future. Assessing the recoverability of deferred income tax assets requires the Group to make significant estimates related to expectations of future taxable income. Estimates of future taxable income are based on forecast cash flows from operations and the application of existing tax laws. To the extent that future cash flows and taxable income differ significantly from estimates, the ability of the Group to realise the net deferred tax assets recorded at the reporting date could be impacted.

Recognition of deferred tax assets requires assessment of future taxable profits against which carry forward tax losses can be used. It also requires assessment to determine whether there are sufficient taxable temporal differences against which tax losses can be utilised (Note 3(i)).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(d) Use of judgements and estimates (continued)

(v) *Impairment tests*

Key assumptions underlying recoverable amounts are made in determining carrying amounts of goodwill, receivables, investments in subsidiaries, tangible and intangible assets, investment properties etc, especially where indicators of impairment exist (Note 3 (l) and 3(n)).

The Group and Company always recognises lifetime ECL for trade receivables. The expected credit losses for these assets are estimated using a provision matrix based on the Group and Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including the time value of money where appropriate.

(e) Measurement of fair values

A number of the Group's and Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group and Company has an established framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the Group finance manager.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations met the requirements of IFRSs, including the level in the fair value hierarchy in which such valuations should be classified.

Significant valuation issues are reported to the Group's Audit, Risk and Compliance Committee.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- *Level 1:* quoted prices (unadjusted) in active markets for identical assets or liabilities.
- *Level 2:* inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- *Level 3:* inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(e) Measurement of fair values (continued)

Further information about the assumptions made in measuring fair values is included in the following notes:

- *Note 11* – Property, plant and equipment
- *Note 12* – Right-of-use assets
- *Note 13* – Investment properties
- *Note 14* – Asset held for sale
- *Note 27* – Financial instruments

(f) Going concern

The group and company recorded net losses of KShs 358.76 million and KShs 190.24 million respectively during the year ended 31 December 2024 (2023 net loss – Group KShs 301.88 million, Company - KShs 550.61 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,677.49 million (2023 – KShs 2,637.59 million).

The group and company had loan arrears due and payable to Equity Bank Kenya Limited resulting to the main lender, Equity Bank Kenya Limited, demanding payment of outstanding balances. Equity Bank Kenya Limited had appointed an Administrator in June 2023, to manage the affairs of the company. However, the Company obtained an injunction from the High Court of Kenya allowing the Board of Directors and Management to continue running the business until the matter is heard and determined. While the group and company does not have ability to settle these arrears in the normal course of business, the Board and Management is working on various actions to ensure that the outstanding debt is regularised.

The above events or conditions indicate that a material uncertainty exists that may cast significant doubt about the Group's and Company's ability to continue as a going concern, and therefore the Group and/or Company may be unable to realize their assets and discharge their liabilities in the normal course of business. Consequently, the Group and Company has put in place the following initiatives to ensure that they meet their obligations as and when they fall due.

Initiatives planned to improve profitability and bridge the funding gap

(i) Divestiture of Tanzania Subsidiary

The Group and Company owe Equity Bank Kenya Limited KShs 2.1 billion being a joint borrowing by the Company and the Tanzania Subsidiary. A significant portion of this debt is in arrears and the Company has prioritised some key initiatives to settle this debt. In March 2024, the Company signed a Share Purchase Agreement with a potential buyer. The potential buyer and the Company are seeking the necessary consents and approvals from regulators and key stakeholders to complete the transaction. It is expected that the settlement of the Tanzania portion of the loan, which has been non-performing, will largely cure the default.

(ii) Disposal of non-operating assets

The Group and Company are in the process of disposing some of their non-operating assets to generate operating cashflows. It is projected that this exercise will raise approximately KShs 350 million once concluded. Two offers are under consideration by the Board and management.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

Initiatives planned to improve profitability and bridge the funding gap - continued

(iii) Debt re-organisation.

To address the issue of overdue loans, the Group and Company is exploring ways of restructuring the debt. This includes sourcing for a new lender and extended payment terms to allow the business time to recover. The parent company, TransCentury Plc is pursuing some offers from potential investors towards debt settlement.

(iv) Working capital funding

The appointment of Administrator mid-2023, adversely affected disbursement of the much-needed working capital by potential lenders, some of whom had committed. However, the Group and Company obtained an injunction stopping the appointment of an administrator and therefore continue to seek partnerships for trade facility financing.

Despite the challenges highlighted above, suppliers and customers have been very supportive of the business. While some key suppliers have offered credit terms for supplies of main raw materials, the business has also managed to convert over 80% of the customers to cash or near cash. These initiatives have enabled the business to maintain continued flow of raw materials to serve customers better even with constrained working capital.

(v) Collaboration with key raw material suppliers

Global supply chain disruptions have called for greater partnerships and meticulous planning of consignments with key raw material suppliers. This collaboration has helped the business to deliver on key customer orders, which would otherwise have been impossible without specific raw material financing. Improved relations with key suppliers has also enabled the company to reduce raw materials stock-outs, thereby registering better customer experience.

(vi) Cash sales and collection of long outstanding receivables

The new route-to-market has enabled the business to collect cash before delivery or a few days after delivery of the goods to the customer. This has not only improved the cash conversion cycle and created a working capital pool but also mitigated the risk of credit defaults. Long outstanding receivables, though impaired in the books, have been a key focus. Various cases are in court for recovery of the old debt.

The directors having considered the initiatives above and information at hand, have concluded that the going concern assumption is appropriate in the preparation of these consolidated and separate financial statements. However, if the group and company are unable to obtain sufficient funds through the sale of shares of East African Cables (Tanzania) and the planned disposal of assets described above within the next twelve months from the date of approval of these financial statements, a material uncertainty exists which may cast a significant doubt about the group and company's ability to continue as a going concern and, therefore the group and company may be unable to realise their assets and discharge their obligations in the normal course of business.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements:

(a) Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group and Company's activities. Net revenue is stated net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

Revenue is measured based on the consideration to which the Group and Company expects to be entitled in a contract with a customer. The Group recognises revenue when it transfers control of a product or service to a customer.

The Group will recognise revenue in accordance with that core principle by applying the following five steps:

Step 1: Identify the contract(s) with a customer;

Step 2: Identify the performance obligations in the contract;

Step 3: Determine the transaction price;

Step 4: Allocate the transaction price to the performance obligations in the contract;

Step 5: Recognise revenue when (or as) the entity satisfies performance obligation.

(ii) Rental income

Rental income on the investment property is recognised in profit or loss on a straight-line basis over the term of the lease. Rental income is presented in other income.

(b) Consolidation principles

(i) Subsidiaries

The consolidated financial statements include the Company (which also includes a dormant branch in Uganda) and its subsidiaries, East African Cables (Tanzania) Limited in which the Group holds 51% of the voting rights. (refer to Note 15).

Subsidiaries are entities controlled by the Company. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date on which control ceases.

In the company financial statements, the investment in subsidiary is carried at cost and assessed for impairment at each reporting date.

Non-controlling interests (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

(ii) Transactions eliminated on consolidation

All intra-group balances and any unrealised gains and losses or income and expenses arising from intra-group balances, are eliminated in preparing consolidated financial statements.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(b) Consolidation principles (continued)

(iii) Business combinations

All business combinations are accounted for by applying the acquisition method. Goodwill represents the difference between the cost of acquisition and the fair value of the net identifiable assets acquired.

A gain arising on a bargain acquisition is recognised directly in profit or loss.

(c) Foreign currencies

(i) Foreign currency transactions

Transactions in foreign currencies during the year are converted into Kenya Shillings at the exchange rate ruling at the date of the transaction. Foreign currency monetary assets and liabilities are translated at the exchange rate ruling at the reporting date. Resulting exchange differences are recognised in profit or loss.

Non-monetary assets and liabilities that are measured based on historical cost denominated in foreign currency are translated at the exchange rate ruling at the date of transaction.

(ii) Foreign operations

The assets and liabilities of foreign operations (which includes subsidiaries and branches), including fair value adjustments arising on consolidation, are translated to Kenya Shillings at foreign exchange rates ruling at the reporting date. The revenues and expenses of foreign operations are translated to Kenya Shillings at rates approximating the foreign exchange rates ruling at the dates of transaction. Foreign exchange differences arising on translation are recognised in other comprehensive income (OCI) and accumulated as a separate component of equity (foreign currency translation reserve) until the disposal of the foreign operation.

(d) Property, plant and equipment

(i) Recognition and measurement

Items of property, plant and equipment (PPE) are measured at cost or at the revalued amount (as appropriate) less accumulated depreciation and impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment. External revaluations for the group's buildings, plant and machinery are obtained after every three years. Surpluses arising from the valuations are recognised in other comprehensive income and accumulated in revaluation reserves in equity.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment and is recognised net within profit or loss and presented within other income/expense. When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(d) Property, plant and equipment (continued)

(ii) Subsequent costs

The cost of replacing part of an item of property, plant or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and Company and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are shown on note 11(b).

(iv) Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and re-measured to fair value. Any gain arising on re-measurement is recognised in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in equity. Any loss is recognised immediately in profit or loss.

(e) Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in production or supply of goods and services or for administrative purposes.

Any gain or loss on disposal of investment properties (calculated as the difference between the net proceeds from disposal and the carrying amount of an item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

Investment properties are measured at fair value. External valuations are obtained on such a basis as to ensure that substantially all properties are valued once every three years. In the event of a material change in market conditions between the valuation date and the reporting date an internal valuation is performed, and adjustments made to reflect any material changes in value.

Surpluses and deficits arising from changes in fair value are recognised in profit or loss for the year.

(f) Leases

Group and Company acting as a lessee

At inception of a contract, the Group and Company assess whether a contract is, or contains a lease. A contract is or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group and Company uses the definition of a lease in IFRS 16.

The Group and Company recognize a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(f) Leases (continued)

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group and Company's incremental borrowing rate is used. Generally, the Group and Company use their incremental borrowing rate as the discount rate.

The Group and Company determine their incremental borrowing rate by analysing their bank borrowings and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments.
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group and Company are reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group and Company are reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group and Company's estimate of the amount expected to be payable under a residual value guarantee, if the Group and Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group and Company present right-of-use assets and lease liabilities as separate lines in the statement of financial position.

Short-term leases and leases of low-value assets

The Group and Company have elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group and Company recognise the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(g) Inventories

Work in progress and manufactured finished goods are valued at production cost including direct costs (cost of materials and labour), an appropriate proportion of production overheads and factory depreciation and other costs incurred in bringing the inventories to their present location and condition. The cost of stocks is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, inventories are written down to net realisable value. Purchase cost relates to the purchase of raw materials. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(h) Employee benefits

(i) *Defined contribution plan*

Non-unionisable employees of the Group are eligible for retirement benefits under a defined contribution plan provided through a separate fund arrangement.

Contributions to the defined contribution plan are recognised in profit or loss as incurred. The Group has no further obligation once the contributions have been paid.

(ii) *Staff gratuity*

The Group provides service gratuity to unionisable staff that retire on attaining the age of 60 years or are declared redundant. These are provided to eligible employees based on each employee's length of service with the Group, as provided for in the collective bargaining agreement. The Group also provides for long service award to staff based on length of service.

The cost of providing service gratuity which is considered as defined benefit plan is determined by a professional actuary using the projected unit credit method.

Re-measurements, comprising of actuarial gains and losses are recognized immediately in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The Group recognises the following changes in the net defined benefit in profit or loss as:

- Service costs comprising of current service costs recognised in profit or loss under cost of sales.
- Net interest expense or income recognised in profit or loss under cost of sales.

Service gratuity is disclosed in Note 20 to the financial statements.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(h) Employee benefits (continued)

(iii) Leave accrual

Employee entitlements to annual leave are recognized when they are expected to be paid to employees. A provision is made for the estimated liability for annual leave at the reporting date.

The monetary value of the unutilised leave by staff as at year end is carried in the accruals as a payable and the movement in the year is recognised in profit or loss.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(i) Taxation

Income tax comprises current tax and change in deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in other comprehensive income or directly in equity, in which case it is recognised in other comprehensive income or in equity respectively.

Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously. A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences. In the case where the Group and Company have a history of recent losses recognition of a deferred tax asset arising from unused tax losses will be only to the extent that there are sufficient taxable temporary difference or there is convincing other evidence that sufficient taxable profit will be available. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(j) Related party transactions

The group discloses the nature, volume and terms and conditions of amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(k) Dividends

Dividends are recognised as a liability in the period in which they are declared. Withholding tax is withheld for all cases where the percentage of ownership is less than 12.5% at the prevailing rates.

The directors did not declare a dividend in the year.

(l) Financial instruments

Financial instruments include balances with banks, trade and other receivables, balances due from and to related parties, trade and other payables and borrowings.

(i) Recognition and initial measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group and Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Classification and subsequent measurement

Financial assets

A financial instrument is a contract that gives rise to both a financial asset for one enterprise and a financial liability of another enterprise.

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI) – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group and Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(I) Financial instruments (continued)

(ii) *Classification and subsequent measurement (continued)*

Financial assets – Business model assessment

The Group and Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group and Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group and Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group and Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group and Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group and Company's claim to cash flows from specified assets (e.g. non-recourse features).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(ii) Classification and subsequent measurement - continued

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest - continued

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract.

Additionally, for a financial asset acquired at a discount or premium to its contractual at par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual at par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets – Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Debt Investments at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(I) Financial instruments (continued)

(iii) De-recognition

Financial assets

The Group and Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group and Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group and Company enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group and Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group and Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred, or liabilities assumed) is recognised in profit or loss.

(iv) Offsetting of financial assets and liabilities

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when the Group and Company has an enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(v) Fair value of financial assets and liabilities

Fair value of financial assets and financial liabilities is the price that would be received to sell an asset or paid to transfer a liability respectively in an orderly transaction between market participants at the measurement date.

(vi) Impairment of financial assets

Non-derivative financial assets

Financial instruments and contract assets

The Group and Company recognises loss allowances for Expected Credit Losses (ECLs) on financial assets measured at amortised cost. The Group and Company measures loss allowances at an amount equal to lifetime ECLs, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECLs.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vi) *Impairment of financial assets - continued*

Non-derivative financial assets - continued

Financial instruments and contract assets - continued

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group and Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group and Company's historical experience and informed credit assessment and including forward-looking information.

The Group and Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due.

The Group and Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group and Company in full, without recourse by the Group and Company to actions such as realising security (if any is held); or
- the financial asset is more than 365 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group and Company is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group and Company expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Group and Company assesses whether financial assets carried at amortised cost and debt securities at Fair Value Through Other Comprehensive Income (FVOCI) are credit-impaired.

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the debtor
- A breach of contract
- It is probable that the debtor will enter into bankruptcy
- Presentation of allowance for ECL in the statement of financial position
- Write-off

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vii) Accounting classifications and fair values for financial assets and liabilities

The table below sets out the carrying amounts of each class of financial assets and liabilities, and their fair values:

Group	Financial assets- amortised cost KShs'000	Financial liabilities- amortised cost KShs'000	Total carrying amount KShs'000	Fair value KShs'000
31 December 2024:				
Assets		-		
Trade receivables – net	271,013	-	271,013	271,013
Due from related parties	4,803	-	4,803	4,803
Cash and bank balances	42,720	-	42,720	42,720
Total assets	318,536	-	318,536	318,536
Liabilities				
Bank loans and borrowings	2,549,590	-	2,549,590	2,549,590
Shareholder loan	992,322	-	992,322	992,322
Trade payables	-	251,155	251,155	251,155
Other payables & accruals	-	625,139	625,139	625,139
Dividend payable	-	4,024	4,024	4,024
Due to related parties	-	280,948	280,948	280,948
Total liabilities	3,541,912	1,161,266	4,703,178	4,703,178
31 December 2023:				
Assets		-		
Trade receivables – net	323,581	-	323,581	323,581
Due from related parties	7,804	-	7,804	7,804
Cash and bank balances	105,259	-	105,259	105,259
Total assets	436,664	-	436,664	436,664
Liabilities				
Bank loans and borrowings	2,412,535	-	2,412,535	2,383,419
Shareholder loan	867,880	-	867,880	867,880
Trade payables	-	438,523	438,523	438,523
Other payables & accruals	-	763,284	763,284	763,284
Dividend payable	-	4,873	4,873	4,873
Due to related parties	-	246,039	246,039	246,039
Total liabilities	3,280,415	1,452,719	4,733,134	4,733,134

The fair values for financial instruments such as trade receivables, cash and bank balances, and trade payables carrying amounts are a reasonable approximation of financial instruments.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vii) Accounting classifications and fair values for financial assets and liabilities - continued

Company

31 December 2024:	Financial assets – amortised cost KShs'000	Financial liabilities- amortised cost KShs'000	Total carrying amount KShs'000	Fair value KShs'000
Assets				
Trade receivables	243,421	-	243,421	243,421
Due from subsidiaries	60,621	-	60,621	60,621
Due from related parties	4,803	-	4,803	4,803
Cash and bank balances	42,357	-	42,357	42,357
Total assets	351,202	-	351,202	351,202
Liabilities				
Bank loans and borrowings	1,880,718	-	1,880,718	1,880,718
Shareholder loan	992,322	-	992,322	992,322
Trade payables	-	92,152	92,152	92,152
Other payables & accruals	-	105,842	105,842	105,842
Dividend payable	-	4,024	4,024	4,024
Due to related parties	-	266,931	266,931	266,931
Total liabilities	2,873,040	468,949	3,341,989	3,341,989

31 December 2023:

Assets

Trade receivables	286,222	-	286,222	286,222
Due from subsidiaries	149,150	-	149,150	149,150
Due from related parties	7,804	-	7,804	7,804
Cash and bank balances	33,524	-	33,524	33,524
Total assets	476,700	-	476,700	476,700

Liabilities

Bank loans and borrowings	1,824,599	-	1,824,599	1,824,599
Shareholder loan	867,880	-	867,880	867,880
Trade payables	-	214,694	214,694	214,694
Other payables & accruals	-	168,811	168,811	168,811
Dividend payable	-	4,873	4,873	4,873
Due to related parties	-	227,846	227,846	227,846
Total liabilities	2,692,479	616,224	3,308,703	3,308,703

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Asset fair values

The carrying amounts of financial instruments such as trade receivables, cash and bank balances, and trade payables are a reasonable approximation of fair values.

Valuation hierarchy

The fair value of certain items of property, plant and equipment, leasehold land and investment property was determined by external, independent property valuers in 2022, having appropriate recognized professional qualifications and experience in the location and category of the property being valued.

The table below shows the classification of investment property held at fair value into the valuation hierarchy set out below.

Group	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2024:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11 (a))	-	1,928,116	-	1,928,116
Right-of-use assets (Note 12)	-	1,866,593	-	1,866,593
Investment property (Note 13)	-	219,357	-	219,357
Total	-	4,014,066	-	4,014,066

31 December 2023:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11 (a))	-	2,149,630	-	2,149,630
Right-of-use assets (Note 12)	-	2,081,084	-	2,081,084
Investment property (Note 13)	-	259,216	-	259,216
Total	-	4,489,930	-	4,489,930

Company	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2024:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11(b))	-	1,434,166	-	1,434,166
Right-of-use assets (Note 12)	-	1,032,985	-	1,032,985
Total	-	2,467,151	-	2,467,151

31 December 2023:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11(b))	-	1,534,794	-	1,534,794
Right-of-use assets (Note 12)	-	1,076,861	-	1,076,861
Total	-	2,611,655	-	2,611,655

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Asset fair values (continued)

Valuation techniques and significant unobservable inputs

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Property, plant, and equipment	Items of property, plant and equipment in Kenya and Tanzania, other than motor vehicles, are revalued every 3 to 5 years, at values determined based on a valuation done by Ms Accurate Valuers Limited on 29th March 2022. Accurate Valuers Limited is an accredited independent valuer, and an industry specialist in valuing these types of investment properties. The fair value of the properties has not been determined on transactions observable in the market because of the nature of the property and lack of comparable data. Instead, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied. The resulting fair value change is dealt with through other comprehensive income.	The factory buildings are in prime locations within the industrial area. Machinery is anchored in the factory buildings and is specialized in cable manufacturing only. Other items of property, plant and equipment like motor vehicles, furniture and fittings is moveable in nature and is used to facilitate manufacture and sale of electrical cables and conductors.	The management adopted the revalued amounts based on expert assessment. Changes in values of items of property, plant and equipment were effected through the revaluation reserve.
Investment Property	This is a residential property situated in Dar-es-salaam Tanzania and is stated at fair value less costs to sell, which has been determined based on a valuation by Ms. Accurate Valuers Limited an accredited independent valuer as at 29th March 2022. The property is occupied and generating rental income.	The property is in a prime area adjacent to the National Referral Hospital	The management adopted the revalued amounts based on expert assessment. Fair value loss was recognized through profit or loss.
Right of use assets	This relates to leasehold land upon which the manufacturing plants are set up. These assets are revalued every 3 to 5 years, at values, based on valuation done by Ms Accurate Valuers Limited on 29th March 2022. Accurate Valuers Limited is an accredited independent valuer and an industry specialist in valuing these types of properties. The fair value of the leasehold land has been determined based on comparable transaction in the market. Additionally, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied.	The right-of-use land is located in prime locations within Nairobi's industrial area and Dar es salaam Nyerere road.	The management adopted the revalued amounts based on expert assessment. Changes in values of items of Right of Use assets were effected through the revaluation reserve.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(n) Impairment of non- financial assets

The carrying amounts of the Group's and Company's non-financial assets, other than investment properties, inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss.

Impairment losses recognised in respect of cash-generating units are allocated first reduce the carrying amount of any goodwill allocated to the cash generating unit and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Impairment losses in respect of goodwill are not reversed.

(o) Assets held for sale

Non-current assets or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale or distribution than through continuing use are classified as held for sale or distribution. Immediately before classification as held for sale or distribution the assets or components of a disposal group are measured in accordance with the Group's accounting policies. Thereafter generally the assets or disposal group are measured at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis.

Impairment losses on initial classification as held for sale or distribution and subsequent gains and losses on re-measurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss.

Once classified as held for sale or distribution, assets are no longer amortised or depreciated, and any equity-accounted investee is no longer equity accounted.

(p) Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(q) Finance income and expenses

Finance income and expenses comprise interest expense on borrowings and foreign currency losses. Borrowing costs, not relating to qualifying assets, are recognised in profit or loss using the effective interest rate.

Foreign exchange gains and losses are reported on a gross basis.

(r) Segmental reporting

The Group determines and presents operating segments based on the information that internally is provided to the Group Chief Executive Officer (CEO), who is the Group's chief operating decision maker.

The Group has three reportable segments which are the Group's geographic locations. The geographic locations offer similar products to different markets and are managed separately because they require different marketing strategies.

The CEO reviews the internal management reports on each of the segments on a monthly basis. The performance of each segment is measured on segment profit as included in the management report. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of the businesses.

Specific segmental information is disclosed in Note 30.

(s) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(t) Comparative information

Where necessary, comparative figures have been represented to conform with changes in presentation in the current year.

(u) New standards, amendments and interpretations

(i) New standards, amendments and interpretations effective and adopted during the year

The Group and Company has adopted the following new standards and amendments during the year ended 31 December 2024, including consequential amendments to other standards with the date of initial application by the Group and Company being 1 January 2024.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(u) New standards, amendments and interpretations

(ii) *New standards, amendments and interpretations effective and adopted during the year (continued)*

The following new and revised standards became effective for the first time in the financial year beginning 1st January 2024
— <i>Amendments to IAS 1 titled Classification of Liabilities as Current or Non-current (issued in January 2020, amended in October 2022).</i> The amendments clarify a criterion in IAS 1 for classifying a liability as non-current: the requirement for an entity to have the right to defer settlement of the liability for at least 12 months after the reporting period.
— <i>Amendment to IFRS 16 titled Lease Liability in a Sale and Leaseback (issued in September 2022).</i> The amendment requires a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognise any amount of the gain or loss..
— <i>Amendments to IAS 1 titled Non-current Liabilities with Covenants (issued in October 2022).</i> The amendments improve the information an entity provides about liabilities arising from loan arrangements for which an entity's right to defer settlement of those liabilities for at least twelve months after the reporting period is subject to the entity complying with conditions specified in the loan arrangement.
— <i>Amendments to IAS 7 and IFRS 7 titled Supplier Finance Arrangements (issued in May 2023).</i> The amendments require an entity to provide additional disclosures about its supplier finance arrangements

The above new standards and amendments did not have a material impact on the financial statements of the Group and Company.

(iii) *New standards, amendments and interpretations in issue but not effective for the year ended 31 December 2024*

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2024 and have not been early adopted by the Group and Company. The Group and Company are in the process of assessing the impact of these standards on the Company Financial Statements.

New standard or amendments
— Amendments to IAS 21 titled Lack of Exchangeability (issued in August 2023)
— IFRS 18 titled Presentation and Disclosure in Financial Statements (issued in April 2024)
— IFRS 19 titled Subsidiaries without Public Accountability: Disclosures (issued in May 2024)
— Amendments to IFRS 9 and IFRS 7 titled Amendments to the Classification and Measurement of Financial Instruments (issued in May 2024)

All standards and interpretations will be adopted at their effective date (except for those standards and interpretations that are not applicable to the entity).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

4. REVENUE, OTHER INCOME AND EXPENSES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
(a) Revenue				
Sale of electrical cables and conductors	<u>2,566,273</u>	<u>2,524,553</u>	<u>2,417,004</u>	<u>2,322,295</u>

Revenue from sale of goods is recognised as and when control is transferred to the customer based on the percentage of completion of a service contract within the accounting period; to the extent that the customer has accepted the good and the collectability of the related receivable is reasonably measured.

(b) Other income

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Other income				
Miscellaneous income	6,238	5,330	4,043	3,947
Rent income	6,379	5,154	6,379	3,710
Interest received on debt recovery	-	10,233	-	-
	<u>12,617</u>	<u>20,717</u>	<u>10,422</u>	<u>7,657</u>

(c) Expenses by nature

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Raw materials and consumables	1,772,336	1,798,409	1,646,578	1,650,463
Employee benefits and other staff costs (Note 5)	313,053	303,110	251,849	233,268
Electricity expenses	57,338	44,053	51,992	38,876
Repairs and maintenance	14,154	15,351	13,021	12,340
Professional and consultancy costs	24,973	126,488	17,854	64,623
Vehicle expenses	10,739	12,473	8,559	8,292
Other expenses	<u>207,404</u>	<u>265,108</u>	<u>190,376</u>	<u>192,217</u>
	<u>2,399,997</u>	<u>2,564,992</u>	<u>2,180,229</u>	<u>2,200,079</u>

Comprising:

Cost of sales	1,810,390	1,854,293	1,693,609	1,694,015
Factory expenses	159,661	152,740	135,090	122,273
Administrative expenses	331,594	459,413	263,457	298,901
Selling and distribution expenses	<u>98,352</u>	<u>98,546</u>	<u>88,073</u>	<u>84,890</u>
	<u>2,399,997</u>	<u>2,564,992</u>	<u>2,180,229</u>	<u>2,200,079</u>

5. STAFF COSTS

Direct labour	57,128	55,883	47,031	41,830
Indirect factory salaries	60,762	59,700	55,448	52,590
Administration salaries and wages	124,606	119,714	90,963	84,502
Distribution salaries and wages	55,127	51,759	48,118	43,867
Pension contributions	<u>15,430</u>	<u>16,054</u>	<u>10,289</u>	<u>10,479</u>
	<u>313,053</u>	<u>303,110</u>	<u>251,849</u>	<u>233,268</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

6. OTHER OPERATING EXPENSES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
(a) Impairment losses				
Impairment (writeback)/loss on trade receivables	26,824	(2,004)	8,880	382,945
Impairment loss/(writeback) on other financial assets	2,713	(419)	2,713	(419)
Impairment loss on investment in subsidiary	—	—	5,434	83,745
	<u>29,537</u>	<u>(2,423)</u>	<u>17,027</u>	<u>466,271</u>
(b) Depreciation and amortisation				
Depreciation of property, plant and equipment	130,514	133,484	103,841	104,388
Depreciation of right-of-use assets	59,518	60,901	43,875	43,875
	<u>190,032</u>	<u>194,385</u>	<u>147,716</u>	<u>148,263</u>

7. NET FINANCE COST

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Interest expense	482,952	337,034	367,909	269,114
Net exchange gains / (losses)	12,801	(93,787)	17,315	(25,232)
	<u>495,753</u>	<u>243,247</u>	<u>385,224</u>	<u>243,882</u>

8. LOSS BEFORE TAX

Loss before tax is arrived at after charging:

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Depreciation expense (Note 11)	130,514	133,484	103,841	104,388
Depreciation – Right of use assets (Note 12)	59,518	60,901	43,875	43,875
Interest expense (Note 7)	482,952	337,034	367,909	269,114
Directors' emoluments (Note 24):				
Fees (non-executive directors)	15,463	16,749	11,100	12,000
- Sitting allowances	2,569	3,245	2,160	3,120
- Other costs	285	-	285	-
- Executive Director's remuneration	28,066	27,164	28,066	27,164
Auditor's remuneration	5,842	6,169	3,500	3,500

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

9. INCOME TAX

(a) Income tax (credit) / expense

	Group		Company	
	2024	2023	2024	2023
	KShs'000	KShs'000	KShs'000	KShs'000
Current year tax at 30 %	<u>2,690</u>	<u>2,190</u>	<u>1,933</u>	<u>1,113</u>
Deferred tax credit (Note 21)				
Movement through profit or loss	(180,331)	(114,689)	(114,435)	(138,495)
Prior year (over)/under provision	(26)	(40,555)	(27)	(40,555)
	<u>(180,357)</u>	<u>(155,244)</u>	<u>(114,462)</u>	<u>(179,050)</u>
Total income tax credit	<u>(177,667)</u>	<u>(153,054)</u>	<u>(112,529)</u>	<u>(177,937)</u>

(b) Tax reconciliation

The tax on the Group and Company results differs from the theoretical amount using the basic tax rate as follows:

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Loss before income tax	<u>(536,429)</u>	<u>(454,931)</u>	<u>(302,770)</u>	<u>(728,543)</u>
Tax calculated at the statutory income tax rate of 30%	(160,929)	(136,480)	(90,831)	(218,563)
Movement in unrecognised deferred tax asset	21,762	68,007	-	-
Prior year overprovision-deferred tax	(27)	(40,555)	(27)	(40,555)
Tax effect of other deductible costs	<u>(38,473)</u>	<u>(44,026)</u>	<u>(21,671)</u>	<u>81,181</u>
	<u>(177,667)</u>	<u>(153,054)</u>	<u>(112,529)</u>	<u>(177,937)</u>

(c) Current tax balances

Balance as at 1 January	4,974	(59,723)	8,465	(57,967)
Current tax charge	2,690	2,190	1,933	1,113
Tax offsets	-	66,337	-	66,337
Paid during the year	(1,318)	(3,649)	(1,318)	(1,018)
Foreign exchange differences	<u>564</u>	<u>(181)</u>	<u>-</u>	<u>-</u>
Balance as at 31 December	<u>6,910</u>	<u>4,974</u>	<u>9,080</u>	<u>8,465</u>
Comprising:				
Current tax recoverable	(2,170)	-	-	-
Current tax payable	<u>9,080</u>	<u>4,974</u>	<u>9,080</u>	<u>8,465</u>
	<u>6,910</u>	<u>4,974</u>	<u>9,080</u>	<u>8,465</u>

10. BASIC AND DILUTED EARNINGS PER SHARE

The calculation of basic and diluted earnings per share is based on:

	2024	2023
Loss attributable to ordinary shareholders (KShs'000)	<u>(248,557)</u>	<u>(205,621)</u>
Weighted average number of ordinary shares outstanding during the year	<u>253,125,000</u>	<u>253,125,000</u>
Basic and diluted earnings per share (KShs)	<u>(0.98)</u>	<u>(0.81)</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT

(a) Group

2024:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2024	1,061,675	1,288,450	44,392	98,794	109,998	2,603,309
Additions	-	2,580	-	-	-	2,580
Exchange differences	(47,163)	(56,253)	(3,392)	(5,620)	-	(112,428)
At 31 December 2024	1,014,512	1,234,777	41,000	93,174	109,998	2,493,461
Depreciation:						
At 1 January 2024	44,579	277,888	38,037	86,820	-	447,324
Charge for the year	25,124	100,760	1,869	2,761	-	130,514
Exchange differences	(2,629)	(5,622)	(2,786)	(5,336)	-	(16,373)
At 31 December 2024	67,074	373,026	37,120	84,245	-	561,465
Net carrying value:						
At 31 December 2024	947,438	861,751	3,880	8,929	109,998	1,931,996

2023:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2023	1,015,472	1,231,494	38,645	93,341	109,998	2,488,950
Additions	-	1,931	1,827	155	-	3,913
Exchange differences	46,203	55,025	3,920	5,298	-	110,446
At 31 December 2023	1,061,675	1,288,450	44,392	98,794	109,998	2,603,309
Depreciation:						
At 1 January 2023	16,132	169,967	32,529	78,949	-	297,577
Charge for the year	26,011	102,027	2,199	3,247	-	133,484
Exchange differences	2,436	5,894	3,309	4,624	-	16,263
At 31 December 2023	44,579	277,888	38,037	86,820	-	447,324
Net carrying value:						
At 31 December 2023	1,017,096	1,010,562	6,355	11,974	109,998	2,155,985

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

(b) Company

2024:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2024	755,000	912,314	18,369	63,559	109,999	1,859,241
Additions	-	2,580	-	-	-	2,580
At 31 December 2024	755,000	914,894	18,369	63,559	109,999	1,861,821
Depreciation:						
At 1 January 2024	25,166	224,865	15,670	56,047	-	321,748
Charge for the year	15,100	85,566	633	2,542	-	103,841
At 31 December 2024	40,266	310,431	16,303	58,589	-	425,589
Net carrying value:						
At 31 December 2024	714,734	604,463	2,066	4,970	109,999	1,436,232

2023:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2023	755,000	912,314	16,542	63,404	109,999	1,857,259
Additions	-	-	1,827	155	-	1,982
At 31 December 2023	755,000	912,314	18,369	63,559	109,999	1,859,241
Depreciation:						
At 1 January 2023	10,066	139,406	14,817	53,071	-	217,360
Charge for the year	15,100	85,459	853	2,976	-	104,388
At 31 December 2023	25,166	224,865	15,670	56,047	-	321,748
Net carrying value:						
At 31 December 2023	729,834	687,449	2,699	7,512	109,999	1,537,493

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are as follows:

- Leasehold buildings Over the shorter of the lease period and the asset's useful life
- Plant and machinery 10%
- Computers 33.3%
- Motor vehicles 25%
- Furniture, fittings, and equipment 12.5% - 20%
- Construction work-in-progress Not depreciated until after commissioning.

The assets' residual values, useful lives and depreciation methods are reviewed and adjusted as appropriate at each reporting date.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

Revaluation

The directors are of the view that the value carried in the books is a fair estimate of the current value of the assets as at the statement of financial position date.

Included in property, plant and equipment are assets with a gross value of KShs 154 million (2023 – KShs 153 million), which are fully depreciated, and still in use. Such assets would have attracted a notional depreciation of KShs 81 million (2023 – KShs 80 million).

If the buildings, plant and machinery were stated on the historical cost basis, the amounts would be as follows:

Group	Buildings KShs'000	Plant and machinery KShs'000	Total KShs'000
At 31 December 2024			
Cost	883,565	2,071,179	2,954,744
Accumulated Depreciation	(269,437)	(2,071,179)	(2,340,616)
Net carrying value	<u>614,128</u>	<u>-</u>	<u>614,128</u>
At 31 December 2023			
Cost	930,728	2,124,852	3,055,580
Accumulated Depreciation	(251,766)	(2,124,852)	(2,376,618)
Net carrying value	<u>678,962</u>	<u>-</u>	<u>678,962</u>

Company	Buildings KShs'000	Plant and machinery KShs'000	Total KShs'000
At 31 December 2024			
Cost	835,003	1,710,419	2,545,422
Accumulated Depreciation	(244,549)	(1,710,419)	(1,954,968)
Net carrying value	<u>590,454</u>	<u>-</u>	<u>590,454</u>
At 31 December 2023			
Cost	835,003	1,707,840	2,542,843
Accumulated Depreciation	(227,849)	(1,707,840)	(1,935,689)
Net carrying value	<u>607,154</u>	<u>-</u>	<u>607,154</u>

Security

At 31 December 2024, land and buildings for Group and Company with a carrying amount of KShs 2,814 million and KShs 1,748 million (2023 – KShs 3,098 million and KShs 1,807 million) respectively, are subject to a registered debenture securing a bank loan facility. Plant and machinery for the Group and Company with a carrying amount of KShs 985 million and KShs 721 million (2023 – KShs 1,139 million and KShs 808 million) respectively are subject to a registered debenture to secure bank loan facilities. A motor vehicle with a cost of KShs 4.3 million (2023 – KShs 4.3 million) is also held as security for a bank loan.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

12. RIGHT-OF-USE ASSETS

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Carrying value at 1 January	2,081,084	1,989,950	1,076,859	1,120,734
Charge for the year	(59,518)	(60,901)	(43,875)	(43,875)
Exchange adjustment	<u>(154,973)</u>	<u>152,035</u>	<u>-</u>	<u>-</u>
Balance as at 31 December	<u>1,866,593</u>	<u>2,081,084</u>	<u>1,032,984</u>	<u>1,076,859</u>

The right-of-use assets relate to four leasehold properties, as detailed below:

- LR No. 209/8176 held on a 77 year lease commencing January 1973.
- LR No. 209/6982/1 held on a 81 year lease commencing January 1967.
- LR No. 209/4235 held on a 99 year lease commencing January 1949.
- LR No. 54633 held on a 99 year lease commencing October 1976.

Right of Use Assets are amortised over the term of the lease.

13. INVESTMENT PROPERTIES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Balance as at 1 January	259,216	220,169	-	-
Exchange differences	<u>(39,859)</u>	<u>39,047</u>	<u>-</u>	<u>-</u>
Balance as at 31 December	<u>219,357</u>	<u>259,216</u>	<u>-</u>	<u>-</u>

Investment properties comprise of residential houses that have been leased to third parties and are carried at fair value.

14. ASSETS HELD FOR SALE

Some non-production assets have been identified for disposal to improve liquidity of the business and most importantly to reduce bank borrowings.

While it is expected that sale of these assets will be completed in the foreseeable future, the assets are held under property, plant and equipment as well as right-of-use assets. Once the requisite sale agreements are entered with potential buyers, the specific assets will be re-classified to assets held for sale.

15. INVESTMENT IN SUBSIDIARIES

East African Cables (Tanzania) Limited

	2024	2023
	KShs '000	KShs '000
Balance as at 1 January	31,292	115,037
Impairment	<u>(5,434)</u>	<u>(83,745)</u>
Balance as at 31 December	<u>25,858</u>	<u>31,292</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

15. INVESTMENT IN SUBSIDIARIES (CONTINUED)

On 31 October 2005, the Company purchased 51% of the share capital of East African Cables (Tanzania) Limited, a company incorporated in Tanzania. The investment is carried at cost less impairment losses.

In March 2024, the company signed a share purchase agreement with a potential buyer with an intention to sell off the shareholding in the subsidiary. The impairment arising from the potential sale has been recognised in the company financial statements.

The overall results of operations for the subsidiary, East African Cables (Tanzania) Limited is as follows:

	2024	2023
	KShs '000	KShs '000
Revenue for the year ended 31 December	<u>149,269</u>	<u>202,258</u>
Loss after tax for the year ended 31 December	<u>(224,907)</u>	<u>(196,440)</u>

The company also owns Yana Trading Limited a company incorporated in South Africa which is dormant.

16. INVENTORIES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Finished goods	155,374	98,159	155,374	94,093
Raw materials	148,583	236,547	126,571	202,489
Work in progress	77,804	58,703	77,258	52,571
Strategic spares and lubricants	35,289	46,126	33,438	32,801
Stationery and printing	<u>668</u>	<u>1,541</u>	<u>668</u>	<u>725</u>
	<u>417,718</u>	<u>441,076</u>	<u>393,309</u>	<u>382,679</u>

The group and company expensed through cost of sales inventories amounting to KShs 1,772 million and KShs 1,647 million during the year (2023 – KShs 1,798 million and KShs 1,650 million, respectively).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

17. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Net trade receivables (Note 27 (a))	271,013	323,581	243,421	286,222
Prepaid expenses	15,352	19,110	14,430	13,370
Prepayments for raw materials and spares	13,214	15,176	11,453	12,710
Due from subsidiary (Note 24 (a))	-	-	60,621	149,150
Due from other related parties (Note 24 (a))	<u>4,803</u>	<u>7,804</u>	<u>4,803</u>	<u>7,804</u>
	<u>304,382</u>	<u>365,671</u>	<u>334,728</u>	<u>469,256</u>

18. CAPITAL AND RESERVES

(a) Share capital

	2024		2023	
Group and Company:	Number		Number	
Authorised, issued and fully paid	of shares		of shares	
	(Thousands)	KShs'000	(Thousands)	KShs'000
Ordinary shares of KShs 0.50 each at 1 January and 31 December	<u>253,125</u>	<u>126,563</u>	<u>253,125</u>	<u>126,563</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the company.

(b) Share premium

	2024	2023
	KShs '000	KShs '000
Share premium (Group and company)	<u>545</u>	<u>545</u>

(c) Revaluation reserve

The revaluation reserve relates to the revaluation of property, plant and equipment, leasehold land, right of use assets and investment property revaluation prior to transfer on reclassification as investment property. The revaluation reserve is stated net of the associated deferred tax and is not available for distribution as dividends.

(d) Foreign currency translation reserve

The foreign currency translation reserve comprises all foreign currency differences arising from the translation of the financial statement of foreign operations, which include subsidiaries, Group and Company.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

18. CAPITAL AND RESERVES (Continued)

(e) Non-controlling interests

The following table summarises the information relating to East Africa Cables Tanzania Limited, a subsidiary that has material non-controlling interest (NCI) before any intra-group eliminations:

<i>In KShs'000</i>	2024	2023
NCI percentage	49%	49%
Non-current assets	1,548,728	1,881,930
Current assets	57,218	179,188
Non-current liabilities	(219,508)	(340,382)
Current liabilities	(1,916,008)	(2,116,994)
Right-of use assets on consolidation	-	-
Net assets	(529,570)	(396,258)
Carrying amount of NCI	(259,489)	(173,384)
Revenue	149,269	202,258
Loss	(224,907)	(196,441)
OCI	(1,168)	1,237
Total comprehensive income	(226,075)	(197,678)
Loss allocated to NCI	(110,205)	(96,256)
OCI allocated to NCI	(572)	(606)
Cash flows from operating activities	(55,368)	30,371
Cash flows from investment activities	-	(946)
Cash flows from financing activities (dividends to NCI: nil)	25,801	(46,180)
Net decrease in cash and cash equivalents	(29,567)	(16,755)

(f) Dividend per share

The directors do not propose the payment of a dividend in respect of the year ended 31 December 2024 (2023 – Nil) per share. Dividend is paid less withholding tax of 5% for residents, 10% for non-residents where applicable and 0% for local entities owning 12.5% shareholding or more.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

19. BANK LOANS AND BORROWINGS

(a) Outstanding balances, terms and repayment schedule

		Nominal interest rate (p.a)	Group 2024 KShs '000	2023 KShs '000	Company 2024 KShs '000	2023 KShs '000
	Currency					
Equity Bank	KShs	13%	2,221,706	2,041,460	1,552,834	1,453,524
Ecobank Kenya	KShs	13%	111,620	129,489	111,620	129,489
SBM Bank Kenya	KShs	13%	<u>216,264</u>	<u>241,586</u>	<u>216,264</u>	<u>241,586</u>
			<u>2,549,590</u>	<u>2,412,535</u>	<u>1,880,718</u>	<u>1,824,599</u>
Comprising:						
		Year of maturity				
Non-current liability		2025-2029	275,460	320,633	275,460	320,633
Current liability		2021-2024	<u>2,274,130</u>	<u>2,091,902</u>	<u>1,605,258</u>	<u>1,503,966</u>
			<u>2,549,590</u>	<u>2,412,535</u>	<u>1,880,718</u>	<u>1,824,599</u>

(b) Loan movement schedule

	Group 2024 KShs '000	2023 KShs '000	Company 2024 KShs '000	2023 KShs '000
Balance at 1 January	2,412,535	2,383,419	1,824,599	1,868,310
Repaid during the year	(57,296)	(77,019)	(42,997)	(36,849)
Interest charge	334,884	268,951	253,749	197,660
Interest paid	(140,507)	(204,522)	(140,513)	(204,522)
Foreign currency translations	(26)	41,706	-	-
Balance at 31 December	<u>2,549,590</u>	<u>2,412,535</u>	<u>1,880,718</u>	<u>1,824,599</u>

As at 31 December 2024, the group and company had overdue loans amounting to Ksh.845.76 million (2023: KShs 659.59 million). Equity Bank Kenya Limited has demanded that the arrears be settled and appointed an Administrator for recovery of the outstanding balances. The Group and Company obtained an injunction stopping the bank from appointing an Administrator. The matter is pending in court.

(c) Securities and covenants

East African Cables Plc has facility arrangements with Equity Bank Kenya Limited, Ecobank Kenya Limited and SBM Bank Kenya Limited. The borrowings are secured by certain land and buildings and a debenture over all the assets of East African Cables Plc and East African Cables (Tanzania) Limited.

	Group 2024 KShs '000	2023 KShs '000	Company 2024 KShs '000	2023 KShs '000
Legal charge on land and buildings	<u>3,109</u>	<u>3,109</u>	<u>1,687</u>	<u>1,687</u>
Specific debenture on machinery	600	600	600	600
Debenture over all assets	<u>1,700</u>	<u>1,700</u>	<u>1,700</u>	<u>1,700</u>
Total value of debentures	<u>2,300</u>	<u>2,300</u>	<u>2,300</u>	<u>2,300</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

20. RETIREMENT BENEFITS OBLIGATIONS

The Group and Company operate a Gratuity arrangement for its unionisable employees. The Gratuity arrangement is provided under a Collective Bargaining Agreement which is signed every two years.

The benefits in the Memorandum of agreement are defined on retirement and death. The Gratuity arrangement is defined benefit in nature with benefits linked to past service and salary at time of exit. Generally, on retirement, the benefit provided to employees for service from 1 to 5 years is 16 days pay for each completed year of service, for service from 6 to 10 years 20 days pay for each year of service and for service over 10 years 23 days' pay for each year of service.

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Opening benefit obligation	41,042	40,553	21,873	23,424
Current service cost net of employees' contributions - charged to profit or loss	2,306	2,148	1,503	1,189
Interest cost charged to profit or loss	5,476	5,449	3,620	3,281
Actuarial (gain)/loss charged to other comprehensive income	(1,524)	(9,864)	2,370	(5,740)
Benefits and expenses paid	(255)	(312)	-	(312)
Past service cost	44	31	44	31
Translation (gains)/losses	<u>(2,947)</u>	<u>3,037</u>	<u>-</u>	<u>-</u>
Closing benefit obligation	<u>44,142</u>	<u>41,042</u>	<u>29,410</u>	<u>21,873</u>

The principal actuarial assumptions used in determining service gratuity obligations for the company are shown below:

	Kenya		Tanzania	
Actuarial assumptions	2024	2023	2024	2023
Discount rate (% p.a.)	13.50%	16.00%	11.75%	11.25%
Future salary increases (% p.a.)	10.00%	10.00%	10.00%	10.00%
Mortality Assumptions – Males	KE 2007-2010 Males	KE 2001-2003 Males	TZ 2007-2010 Males	TZ 2001-2003 Males
Mortality Assumptions – Females	KE 2007-2010 Females	KE 2001-2003 Females	TZ 2007-2010 Females	TZ 2001-2003 Females
Weighted average duration of defined benefit obligation	7.17	7.90	8.62	9.05

Sensitivity of the results

The results of actuarial valuation will be more sensitive to changes in financial assumption than changes in the demographic assumptions. In preparing the sensitivity analysis of the results to the discount rate used, the actuaries have relied on the calculations of the duration of the liability.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

20. RETIREMENT BENEFITS OBLIGATIONS (Continued)

Sensitivity of the results (continued)

A quantitative sensitivity analysis for significant assumptions as at 31 December 2024 is as shown below:

Group	Discount rate		Salary rate	
	1%	-1%	1%	-1%
	KShs '000	KShs '000	KShs '000	KShs '000
Net liability at start of the period	41,042	41,042	41,042	41,042
Net expense recognised in the profit or loss	7,826	7,826	7,826	7,826
Net expense recognised in the other comprehensive income	(4,681)	2,059	2,124	(4,785)
Employer contributions	(255)	(255)	(255)	(255)
Net liability at end of the period	<u>43,932</u>	<u>50,672</u>	<u>50,737</u>	<u>43,828</u>

Company	Discount rate		Salary rate	
	1%	-1%	1%	-1%
	KShs '000	KShs '000	KShs '000	KShs '000
Net liability at start of the period	21,873	21,873	21,873	21,873
Total Net expense recognized in the profit or loss	5,167	5,167	5,167	5,167
Net expense recognized in the other comprehensive income	376	4,631	4,686	299
Employer contributions	-	-	-	-
Net liability at end of the period	<u>27,416</u>	<u>31,671</u>	<u>31,726</u>	<u>27,339</u>

Key Risks

The key risks associated with the Gratuity arrangement are as follows:

- The benefits are linked to salary and consequently have an associated risk to increases in salary.
- The benefits are defined as per the Memorandum of Agreement, normally effective for two years. Negotiations with the trade union could change these benefits and materially change the costs of the company.
- The Arrangement is unfunded with no separate assets. Investment risk would therefore not arise on the Arrangement.
- Benefits in the Arrangement are payable on retirement, death or redundancy. The actual cost to the Company of the benefits is therefore subject to the demographic movements of employees.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

21. DEFERRED TAX (ASSETS) / LIABILITIES

(a) Group

Movements in the deferred tax liabilities during the year are as follows:

	At 1 January KShs'000	Under / over provision in prior years KShs'000	Recognised through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Exchange difference KShs'000	Balance at 31 December KShs'000
2024:						
Staff gratuity provision	(9,354)	-	(4,007)	449	670	(12,242)
Other provisions and accruals	(487,981)	(20,900)	(40,935)	-	24,898	(524,918)
Tax losses	(386,202)	20,874	(9,632)	-	-	(374,960)
Property, plant & equipment	1,045,900	-	(40,169)	-	(72,998)	932,733
Revaluation of investment property	36,119	-	-	-	(5,555)	30,564
Unrealised exchange gain	<u>64,213</u>	<u>-</u>	<u>(85,588)</u>	<u>-</u>	<u>1,280</u>	<u>(20,095)</u>
	<u>262,695</u>	<u>26</u>	<u>(180,331)</u>	<u>449</u>	<u>(51,705)</u>	<u>31,082</u>
2023:						
Staff gratuity provision	(12,167)	-	732	2,822	(741)	(9,354)
Other provisions and accruals	(349,205)	-	(114,157)	-	(24,619)	(487,981)
Tax losses	(389,985)	-	3,783	-	-	(386,202)
Property, plant & equipment	1,053,299	(40,555)	(38,463)	-	71,619	1,045,900
Revaluation of investment property	30,677	-	-	-	5,442	36,119
Unrealised exchange gain	<u>35,229</u>	<u>-</u>	<u>33,416</u>	<u>-</u>	<u>(4,432)</u>	<u>64,213</u>
	<u>367,848</u>	<u>(40,555)</u>	<u>(114,689)</u>	<u>2,822</u>	<u>47,269</u>	<u>262,695</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

21. DEFERRED TAX (ASSETS) / LIABILITIES (Continued)

(b) Company

Movements during the year are as follows:

	Balance at 1 January KShs'000	Prior year overprovision KShs'000	Recognised through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Balance at 31 December KShs'000
2024:					
Staff gratuity provision	(4,841)	-	(2,261)	(711)	(7,813)
Other provisions and accruals	(422,199)	(20,901)	(41,450)	-	(484,550)
Tax losses	(386,202)	20,874	(9,632)	-	(374,960)
Unrealised exchange gain	27,172	-	(32,366)	-	5,194
Property, plant and equipment	<u>573,872</u>	<u>-</u>	<u>(28,726)</u>	<u>-</u>	<u>545,146</u>
	<u>(212,198)</u>	<u>(27)</u>	<u>(114,435)</u>	<u>(711)</u>	<u>(327,371)</u>

	Balance at 1 January KShs'000	Prior year over provision KShs'000	Recognised through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Balance at 31 December KShs'000
2023:					
Staff gratuity provision	(7,027)	-	464	1,722	(4,841)
Other provisions and accruals	(302,543)	-	(119,656)	-	(422,199)
Tax losses	(389,985)	-	3,783	-	(386,202)
Unrealised exchange gain	23,083	-	4,089	-	27,172
Property, plant and equipment	<u>641,602</u>	<u>(40,555)</u>	<u>(27,175)</u>	<u>-</u>	<u>573,872</u>
	<u>(34,870)</u>	<u>(40,555)</u>	<u>(138,495)</u>	<u>1,722</u>	<u>(212,198)</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

21. DEFERRED TAX LIABILITIES (Continued)

Deferred tax asset amounting to KShs 452,319,418 (2023: KShs 430,557,534) arising from the subsidiary has not been recognised in these financial statements as the directors are of the opinion that the asset will not be utilised in the foreseeable future. The movement of the unrecognised deferred tax asset was KShs 21,761,884 in the year to 31 December 2024.

22. TRADE AND OTHER PAYABLES

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Trade payables	251,155	438,523	92,152	214,694
Due to other related parties (Note 24 (d))	280,948	246,039	266,931	227,846
Other payables and accrued expenses	<u>625,139</u>	<u>763,284</u>	<u>105,842</u>	<u>168,811</u>
	<u>1,157,242</u>	<u>1,447,846</u>	<u>464,925</u>	<u>611,351</u>

23. DIVIDEND PAYABLE

The movement in the dividend payable account is as follows:

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
At beginning of year	4,873	5,125	4,873	5,125
Paid during the year	<u>(849)</u>	<u>(252)</u>	<u>(849)</u>	<u>(252)</u>
At end of year	<u>4,024</u>	<u>4,873</u>	<u>4,024</u>	<u>4,873</u>

No dividend was paid to related parties in the year (2023 – KShs Nil).

24. RELATED PARTY TRANSACTIONS

The following transactions were carried out with related parties:

(a) Directors and executive officers

The total remuneration of directors and executive officers is as follows:

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Directors' emoluments				
— Non-executive directors fees	15,463	16,749	11,100	12,000
— Sitting allowances	2,569	3,245	2,160	3,120
— Other directors costs	285	-	285	-
— Executive director's remuneration	28,066	27,164	28,066	27,164
Senior managements' remuneration	<u>71,865</u>	<u>76,850</u>	<u>44,741</u>	<u>47,459</u>
	<u>118,248</u>	<u>124,008</u>	<u>86,352</u>	<u>89,743</u>

(b) Amounts due from the directors

No amounts were due from the directors at close of the year (2023 – Nil).

The terms and conditions of the transactions with key management personnel were no more favourable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

24.

RELATED PARTY TRANSACTIONS (Continued)

(c) Due from related parties

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
(i) Owed by subsidiaries				
East African Cables (Tz) Ltd	-	-	670,009	671,598
Less: Expected credit losses	<u>-</u>	<u>-</u>	<u>(609,388)</u>	<u>(522,448)</u>
	<u>-</u>	<u>-</u>	<u>60,621</u>	<u>149,150</u>
(ii) Owed by other related parties				
Cableries Du Congo	137	137	137	137
Civicon Limited	4,089	4,089	4,089	4,089
AEA Limited	3,768	3,768	3,768	3,768
Tanelec Limited	<u>5,320</u>	<u>5,185</u>	<u>5,320</u>	<u>5,185</u>
	13,314	13,179	13,314	13,179
Less: Expected credit losses	<u>(8,511)</u>	<u>(5,375)</u>	<u>(8,511)</u>	<u>(5,375)</u>
	<u>4,803</u>	<u>7,804</u>	<u>4,803</u>	<u>7,804</u>

(d) Amounts due to related parties

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Owed to other related parties				
AEA Limited	126	43	89	-
Tanelec Limited	13,980	18,150	-	-
TransCentury PLC	<u>266,842</u>	<u>227,846</u>	<u>266,842</u>	<u>227,846</u>
	<u>280,948</u>	<u>246,039</u>	<u>266,931</u>	<u>227,846</u>

All entities mentioned in (c) and (d) above have common ownership with the Group. All outstanding balances with these related parties are priced on the same terms and conditions as those entered into by other Group employees or customers. None of the balances is secured.

	2024	2023
	KShs'000	KShs'000
(e) Shareholders loan		
Group and Company:		
Balance at 1 January	867,880	723,832
Accrued interest	124,442	77,579
Exchange loss	<u>-</u>	<u>66,469</u>
Balance at 31 December	<u>992,322</u>	<u>867,880</u>

On 22 April 2014, the company received an unsecured loan of USD 4 million from TransCentury Plc at an interest rate of 11% per annum. In 2023, the loan was converted to KShs at an interest rate of 6-month Libor plus 8% per annum. The loan is subordinated to bank borrowings.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

25. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of loss before tax to cash flow from operating activities

	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Loss before tax	(536,429)	(454,931)	(302,770)	(728,543)
Adjustments for:				
Depreciation for property, plant and equipment (Note 11)	130,514	133,484	103,841	104,388
Amortisation for right-of-use assets (Note 12)	59,518	60,901	43,875	43,875
Gain/loss on revaluation	-	-	5,434	83,745
Interest expense (Note 7)	482,951	337,034	367,909	269,114
Net foreign currency changes	614,023	(133,796)	-	-
Increase in provision for staff gratuity	<u>7,782</u>	<u>7,597</u>	<u>5,123</u>	<u>4,470</u>
Operating (loss)/profit before working capital changes	758,359	(49,711)	223,412	(222,951)
Decrease/(Increase) in inventories	23,358	(93,345)	(10,630)	(86,904)
Decrease/(increase) in trade and other receivables	61,289	54,256	134,528	351,005
(Decrease)/ increase in trade and other payables	<u>(290,604)</u>	<u>319,933</u>	<u>(146,428)</u>	<u>125,153</u>
Cash generated from operations	<u>552,402</u>	<u>231,133</u>	<u>200,882</u>	<u>166,303</u>

(b) Cash and cash equivalents at 31 December

Group

	2024	2023	Change in year
	KShs '000	KShs '000	KShs '000
Bank balances	<u>42,720</u>	<u>105,259</u>	<u>(62,539)</u>
Cash and cash equivalents	<u>42,720</u>	<u>105,259</u>	<u>(62,539)</u>

Company

	2024	2023	Change in year
	KShs '000	KShs '000	KShs '000
Bank balances	<u>42,357</u>	<u>33,524</u>	<u>8,833</u>
Cash and cash equivalents	<u>42,357</u>	<u>33,524</u>	<u>8,833</u>

26. CONTINGENT LIABILITIES

There were no outstanding guarantees with the bankers as at 31 December 2024 (2023 – KShs 24 million).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group and Company has exposure to the following risks from its use of financial instruments:

- (a) Credit risk;
- (b) Liquidity risk; and
- (c) Market risk.

This note presents information about the Group's and Company's exposure to each of the above risks, the Group's and Company's objectives, policies and processes for measuring and managing risk, and the Group's and Company's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

The board of directors has overall responsibility for the establishment and oversight the Group's and Company's risk management framework. The finance department identifies, evaluates and addresses financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, and investing excess liquidity.

The Board of Directors oversees how management monitors compliance with the Group's and Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group and Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Group and Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's and Company's receivables from customers and investment securities.

Trade and other receivables

The Group's and Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group's and Company's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group and Company has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's and Company's standard payment and delivery terms and conditions are offered. Customers that fail to meet the Group's and Company's benchmark creditworthiness may transact with the Group only on a prepayment basis.

The Group and Company has a stringent debt provisioning policy that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main component of this allowance specific loss component that relates to individually significant exposures.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

The Group and Company also manages the level of credit risk by focusing on customer satisfaction as a key performance indicator. It also maintains a short credit period. Due to the nature of the Group's and Company's activities, credit risk concentrations are high due to reliance on some customers and as such close monitoring of credit relationships is carried out.

The carrying amount of financial assets represents the maximum exposure to credit risk. The maximum exposure to credit risk at the reporting date was:

	Carrying amount			
	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000
Trade receivables	271,013	323,581	243,421	286,222
Due from subsidiaries	-	-	60,621	149,150
Due from related parties	4,803	7,804	4,803	7,804
Bank balances	<u>42,720</u>	<u>105,259</u>	<u>42,357</u>	<u>33,524</u>
	<u>318,536</u>	<u>436,644</u>	<u>351,202</u>	<u>476,700</u>

Short term deposits

The Group and Company's limits its exposure to credit risk by only investing in short term deposits in money market.

Expected credit loss (ECL) assessment for the year

The Group and Company use a provision matrix to measure the ECL based on a factor of the following:

- Probability of default
- Exposure at default, and
- The loss given default.

The probability of default is based on 12-month flow rates with an adjustment for forward looking information.

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December.

(i) Trade receivables

	Group		Company	
	2024	2023	2024	2023
	KShs 000	KShs 000	KShs 000	KShs 000
Due from government institutions	73,028	154,485	53,665	131,604
Not past due	103,386	125,248	100,611	104,423
Past due 30-90 Days	101,569	22,140	91,467	22,140
Past due 91-365 Days	25,480	112,738	25,128	113,329
More than a year	<u>774,589</u>	<u>872,559</u>	<u>598,788</u>	<u>622,141</u>
Gross trade receivables	1,078,052	1,287,170	869,659	993,637
Loss allowance	<u>(807,039)</u>	<u>(963,589)</u>	<u>(626,238)</u>	<u>(707,415)</u>
Net trade receivables	<u>271,013</u>	<u>323,581</u>	<u>243,421</u>	<u>286,222</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

(i) Trade receivables

Loss rates are based on actual credit loss experience over the past 60 months, current conditions plus the Group's view of economic conditions such as inflation, commercial bank interest rates and growth in the economy's gross domestic product.

(ii) Intercompany receivables

For Group and Company, the calculated ECL for intercompany balances, which represents the probability of default was 79%, which considers historical experience over the last 12 months, current conditions, exchange rates and country risk. These rates were applied to the gross outstanding amount and resulted in a loss allowance of KShs 3,135,813 and KShs 90,075,498 for the Group and Company respectively for the year ended 31 December 2024.

	Group		Company	
	2024	2023	2024	2023
	KShs		KShs	KShs
	000	KShs 000	000	000
Related party receivables				
East African Cables (Tz)	-	-	670,009	671,598
Due from other related parties	<u>13,314</u>	<u>13,179</u>	<u>13,314</u>	<u>13,179</u>
Gross owed by related parties	13,314	13,179	683,323	684,777
Loss allowance	<u>(8,511)</u>	<u>(5,375)</u>	<u>(617,899)</u>	<u>(527,823)</u>
Net receivables owed by related parties	<u>4,803</u>	<u>7,804</u>	<u>65,424</u>	<u>156,954</u>

(iii) Cash and cash equivalents

The Group and company held cash and bank balances of KShs 42,720,000 and KShs 42,357,000 respectively (2023: Group - KShs 105,259,000 and Company KShs 33,524,000). The cash and bank balances are held with banks and financial institution counterparties, which are rated between A1 to B2, based on GCR, S&P and Moody's ratings.

Impairment on cash and cash equivalents has been measured on a 12-month expected credit loss basis and reflects the short maturities of the exposures. The Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. An impairment of KShs 2,712,536 was recorded in the year.

(b) Liquidity risk

Liquidity risk is the risk that the Group and Company will not be able to meet their financial obligations as they fall due. The Group's and Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's and Company's reputation.

Typically, the Group and Company ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Liquidity risk (continued)

The maturities of the Group's and Company's financial liabilities are shown below:

Group

31 December 2024	Due within 3 months	Due between 3-12 months	Due between 1-5 years	Due after 5 years	Total
Financial liabilities	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Loans and borrowings	2,234,091	39,117	248,943	27,439	2,549,590
Shareholder loan	-	-	-	992,322	992,322
Trade and other payables	876,294	-	-	-	876,294
Due to related parties	280,948	-	-	-	280,948
At 31 December 2024	3,391,333	39,117	248,943	1,019,761	4,699,154
31 December 2023					
Financial liabilities					
Loans and borrowings	1,709,047	38,447	644,770	20,271	2,412,535
Shareholder loan	-	-	-	867,880	867,880
Trade and other payables	1,201,807	-	-	-	1,201,807
Due to related parties	246,039	-	-	-	246,039
At 31 December 2023	3,156,893	38,447	644,770	888,151	4,728,261

Company

31 December 2024	Due within 3 months	Due between 3-12 months	Due between 1-5 years	Due after 5 years	Total
Financial liabilities	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Loans and borrowings	1,565,219	39,117	248,943	27,439	1,880,718
Shareholder loan	-	-	-	992,322	992,322
Trade and other payables	197,994	-	-	-	197,994
Due to related parties	266,931	-	-	-	266,931
31 December 2024	2,030,144	39,117	248,943	1,019,761	3,337,965
At 31 December 2023					
Financial liabilities					
Loans and borrowings	1,464,404	38,447	301,477	20,271	1,824,599
Shareholder loan	-	-	-	867,880	867,880
Trade and other payables	383,508	-	-	-	383,508
Due to related parties	227,846	-	-	-	227,846
31 December 2023	2,075,758	38,447	301,477	888,151	3,303,833

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's and Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The Group's and Company's operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest-bearing liabilities mature or reprice at different times or in differing amounts. Risk management activities are aimed at optimizing net interest income, given market interest rates levels consistent with the group's and company's business strategies.

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's and Company's assets and liabilities at carrying amounts, categorized by the earlier of contractual reprising or maturity dates:

Group

			Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Due after 5 years KShs '000	Non- interest bearing KShs '000	Total KShs'000
At 31 December 2024	Average effective interest rate	Due within 3 months KShs '000					
Bank loans and borrowings	13%	2,234,091	39,117	248,943	27,439	-	2,549,590
Shareholder loan	14%	-	-	-	992,322	-	992,322
		2,234,091	39,117	248,943	1,019,761	-	3,541,912
At 31 December 2023							
Bank loans and borrowings	13%	1,709,047	38,447	644,770	20,271	-	2,412,535
Shareholder loan	14%	-	-	-	867,880	-	867,880
		1,709,047	38,447	644,770	888,151	-	3,280,415

Company

			Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Due after 5 years KShs '000	Non- interest bearing KShs '000	Total KShs'000
At 31 December 2024	Average effective interest rate	Due within 3 months KShs '000					
Bank loans and borrowings	13%	1,565,219	39,117	248,943	27,439	-	1,880,718
Shareholder loan	14%	-	-	-	992,322	-	992,322
		1,565,219	39,117	248,943	1,019,761	-	2,873,040
At 31 December 2023							
Bank loans and borrowings	13%	1,464,404	38,447	301,477	20,271	-	1,824,599
Shareholder loan	14%	-	-	-	867,880	-	867,880
		1,464,404	38,447	301,477	888,151	-	2,692,479

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(ii) Currency risk

The Group and Company is exposed to currency risk through transactions in foreign currencies. Foreign currency gains and losses are recognised in profit or loss.

In respect of monetary assets and liabilities in foreign currencies, the company ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the company to meet its obligations.

The Group's and Company's exposure to currency risk mainly arises from transactions denominated in US Dollar.

The Group's and Company's exposure to foreign currency risk was as follows based on notional amounts in US dollars:

	Group		Company	
	2024	2023	2024	2023
	KShs 000	KShs 000	KShs 000	KShs 000
Financial assets				
Cash and bank balances	2,161	2,055	2,007	1,890
Trade receivables	<u>75,711</u>	<u>182,985</u>	<u>75,711</u>	<u>182,985</u>
	<u>77,872</u>	<u>185,040</u>	<u>77,718</u>	<u>184,875</u>
Financial liabilities				
Trade payables	(24,163)	(230,347)	(24,163)	(156,670)
	(24,163)	(230,347)	(24,163)	(156,670)
Net exposure	(53,709)	(45,307)	53,555	28,205

The following significant exchange rates applied during the year:

	Closing rate		Average rate	
	2024	2023	2024	2023
	KShs	KShs	KShs	KShs
USD	<u>129.29</u>	<u>156.46</u>	<u>133.80</u>	<u>141.21</u>

Sensitivity analysis

A 10 percent strengthening/weakening of the Kenya shilling against the following currencies would have increased profit or loss by amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant. The analysis is performed on the same basis for 2021:

	Profit or loss			
	Group		Company	
	2024	2023	2024	2023
	KShs '000	KShs '000	KShs '000	KShs '000

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

At 31 December **5,371** **4,531** **5,356** **2,821**

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(d) Capital risk management

The group's and company's objectives when managing capital are to safeguard the group's and company's ability to continue as a going concern in order to provide returns for shareholders and the benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Board's policy is to maintain a strong capital base so as to maintain creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and the level of dividend pay-out to its shareholders.

The group and company monitor capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including current and non-current borrowings) less cash and cash equivalents. Total capital is calculated as equity as shown in the consolidated and separate statement of financial position plus net debt. The gearing ratio at end of the reporting period was as follows:

	Group		Company	
	2024	2023	2024	2023
	KShs 000	KShs 000	KShs 000	KShs 000
Borrowings:				
Bank loans	2,549,590	2,412,535	1,880,718	1,824,599
Shareholders loan	992,322	867,880	992,322	867,880
Cash and bank balances	(42,720)	(105,259)	(42,357)	(33,524)
Net debt	<u>3,499,192</u>	<u>3,175,156</u>	<u>2,830,683</u>	<u>2,658,955</u>
Total equity	<u>(2,546)</u>	<u>366,446</u>	<u>212,360</u>	<u>404,260</u>
Gearing ratio	<u>n/a</u>	<u>866%</u>	<u>1,333%</u>	<u>658%</u>

28. ULTIMATE HOLDING COMPANY

The ultimate holding company is Trans-Century Plc, a company incorporated in Kenya.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

29. EVENTS AFTER REPORTING DATE

No material events or circumstances have arisen between the accounting date and the date of this report.

30. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Strategy committee. The committee considers the business from a geographical perspective. This committee has the primary responsibility of overseeing implementation of strategic decisions of the board including product and geographical diversification. Geographically, management considers the performance of the business in Kenya, Uganda and Tanzania. The reportable operating segments derive their revenues primarily from manufacture and sale of electric cables, conductors and traded products. The Strategy committee assesses the performance of the operating segments on a measure of profit/(loss) before tax.

	Kenya & Uganda		Tanzania		Consolidated	
	2024	2023	2024	2023	2024	2023
	KShs ‘000	KShs ‘000	KShs ‘000	KShs ‘000	KShs ‘000	KShs ‘000
External sales	2,417,004	2,322,295	149,269	202,258	2,566,273	2,524,553
Inter-segment sales	-	-	-	-	-	-
Total sales	<u>2,417,004</u>	<u>2,322,295</u>	<u>202,258</u>	<u>202,258</u>	<u>2,566,273</u>	<u>2,524,553</u>
Segment (loss)/profit from operations	82,454	(484,661)	(128,564)	(172,194)	(40,677)	(211,684)
Net finance (costs)/income	<u>(385,224)</u>	<u>(243,882)</u>	<u>(161,481)</u>	<u>637</u>	<u>(495,751)</u>	<u>(243,247)</u>
Loss before tax	<u>(302,770)</u>	<u>(728,543)</u>	<u>(290,045)</u>	<u>(171,557)</u>	<u>(536,428)</u>	<u>(454,931)</u>
Other information:						
Segment assets	3,532,217	3,743,301	1,375,314	1,812,932	4,784,936	5,408,291
Segment liabilities	3,380,479	3,339,041	1,375,921	1,701,595	4,787,482	5,041,845
Capital expenditure	2,580	1,982	-	1,931	2,580	3,913
Depreciation expense & amortisation	164,743	148,263	54,826	46,122	219,569	194,385

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets. Sales between segments are carried out at arm’s length. The revenue from external parties reported to the Strategy committee is measured in a manner consistent with that in the income statement. There is no reliance on individually significant customers by the group. The amounts provided to the Strategy committee in respect of total assets and total liabilities are measured in a manner consistent with that of the financial statements.

EAST AFRICAN CABLES PLC

FIVE YEAR CONSOLIDATED FINANCIAL RECORD

A STATEMENT OF COMPREHENSIVE INCOME SUMMARY

	2020 Consolidated KShs'000	2021 Consolidated KShs'000	2022 Consolidated KShs'000	2023 Consolidated KShs'000	2024 Consolidated KShs'000
Sales	<u>1,800,061</u>	<u>1,848,083</u>	<u>2,605,761</u>	<u>2,524,553</u>	<u>2,566,273</u>
Loss before tax	(555,065)	(410,316)	(319,906)	(454,931)	(536,429)
Tax credit/(expense)	<u>(198,157)</u>	<u>110,599</u>	<u>(25,367)</u>	<u>153,054</u>	<u>177,667</u>
Loss after tax	(753,222)	(299,717)	(345,273)	(301,877)	(358,762)
Non-controlling interest	<u>209,015</u>	<u>33,465</u>	<u>87,017</u>	<u>96,256</u>	<u>110,205</u>
(Loss)/profit attributable to parent company shareholders	(544,207)	(266,252)	(258,256)	(205,621)	(248,557)
Dividends	—	—	—	—	—
Retained loss	<u>(544,207)</u>	<u>(266,252)</u>	<u>(258,256)</u>	<u>(205,621)</u>	<u>(248,557)</u>
Earnings per share (KShs)	<u>(2.15)</u>	<u>(1.05)</u>	<u>(1.02)</u>	<u>(0.81)</u>	<u>(0.98)</u>
Dividend per share (KShs)	—	—	—	—	—

B STATEMENT OF FINANCIAL POSITION

	2020 Consolidated KShs'000	2021 Consolidated KShs'000	2022 Consolidated KShs'000	2023 Consolidated KShs'000	2024 Consolidated KShs'000
Non-current assets	4,832,425	4,623,554	4,401,492	4,496,285	4,107,946
Current assets	<u>1,099,957</u>	<u>956,512</u>	<u>956,602</u>	<u>912,006</u>	<u>766,990</u>
TOTAL ASSETS	<u>5,932,382</u>	<u>5,580,066</u>	<u>5,358,094</u>	<u>5,408,291</u>	<u>4,784,936</u>
Equity and liabilities					
Share capital	126,563	126,563	126,563	126,563	126,563
Reserves and share premium	1,300,854	1,038,390	763,100	562,969	314,143
Exchange differences	(111,065)	(93,863)	(123,724)	(149,702)	(183,763)
Non-controlling interest	<u>76,219</u>	<u>27,800</u>	<u>(56,537)</u>	<u>(173,384)</u>	<u>(259,489)</u>
Total equity	1,392,571	1,098,890	709,402	366,446	(2,546)
Non-current liabilities	3,013,832	2,772,984	2,447,462	1,492,250	1,343,006
Current liabilities	<u>1,525,979</u>	<u>1,708,192</u>	<u>2,201,230</u>	<u>3,549,595</u>	<u>3,444,476</u>
TOTAL EQUITY AND LIABILITIES	<u>5,932,382</u>	<u>5,580,066</u>	<u>5,358,094</u>	<u>5,408,291</u>	<u>4,784,936</u>